Madison Insurance Co Ltd v Kinara and another

[2005] 1 EA 240 (CAK)

Division: Court of Appeal of Kenya at Kisumu

Date of judgment: 9 July 2004

Case Number: 263/03

Before: Omolo, Tunoi JJA and Ringera AGJA

Sourced by: LawAfrica

Summarised by: C Kanjama

[1] Civil procedure – Interest – Interest to be awarded to an indemnity claim – Whether the interest should be awarded as per the indemnity contract, at Court rates or at the rate of repayment suffered by the insured on a financing agreement.

[2] Insurance – Indemnity – Consequential loss arising from loss of business – Loss of profits caused by failure of insurer to compensate for burglary – No express cover for consequential loss in policy document – Whether policy holder entitled to claim for loss of profits.

Editor's Summary

The respondent herein held a burglary policy with the appellant. His premises were burgled and he lost property of certain value. The appellant failed to compensate him and he instituted a suit for indemnity. He sought the value of the stolen items and a further sum as special damages for lost income for a period of 41 months. The trial Court held that the respondent held a valid policy of insurance and awarded him the value of indemnity for the stolen items. The trial Court held that the respondent ought to have mitigated his damages and restarted his business within one year. The Court therefore granted an additional sum for lost profit for 12 months.

The appellant was dissatisfied with the award of lost profit, amounting to consequential loss. It appealed, claiming that the insurance policy did not include a cover for consequential loss. The respondent argued that neither did the policy exclude such a loss, nor that the loss was a direct result of the failure by the insurer to give prompt compensation.

Held – There is no support in law for the contention that what is not expressly excluded by a contract of insurance is included. The insured in theory is not entitled to make a profit of his loss. While there is nothing to stop the parties agreeing in their contract of insurance that consequential loss will be compensated, an ordinary policy of insurance would not cover such loss unless the parties specifically contract that such loss would be covered.

Corporate Insurance Co Ltd v Wachira [1995-1998] 1 EA 20 considered.

There was no provision in the contract of insurance for payment of interest at 30%, that rate being merely a loan repayment rate on an agreement between the insured and a third party financier. Interest would therefore be payable at Court rates from the date of filing suit until payment in full.

Appeal allowed. Cross-appeal dismissed.

Case referred to in judgment

("A" means adopted; "AL" means allowed; "AP" means applied; "APP" means approved; "C" means considered; "D" means distinguished; "DA" means disapproved; "DT" means doubted; "E" means explained; "F" means followed; "O" means overruled)

Corporate Insurance Co Ltd v Wachira [1995-1998] 1 EA 20 – C

Judgment

Omolo, Tunoi JJA and Ringera AGJA: The appeal before us raises a straightforward question: can a party to a contract of insurance be given special damages arising from loss of profits or loss of income?

The question arises in this way. Solomon Kinara who does business in the name of Kisii Physiotherapy Clinic, the respondent herein, held a “burglary policy” with Madison Insurance Company Limited, the appellant. The respondent described himself in his plaint dated 16 March 2001 and filed in the High Court of Kenya at Kisii on 20 March 2001 as a duly qualified physiotherapist and that he practised his art at New Sansora Complex in Kisii town. He had in his clinic certain articles of his trade which he listed as:

Traction Machine	KShs540 000
Ultrasonic Machine	KShs300 000
Rehabilitator	KShs10 000
Radio Cassette	KShs9 000\\\
Pulley System	KShs10 000
Universal Adaptor	KShs2 000
Total	KShs871 000

His contention was that he had insured those items, together with others, against burglary and that the applicant had issued him with an insurance policy covering the period 29 April 1997 to 28 April 1998 and that he had paid to the appellant KShs15 599 as premiums in respect of the said policy.

On 7 September 1997 while that policy was in force, thieves broke into his premises and stole the listed items. He asked the appellant to indemnify him in respect of the loss; the appellant refused to indemnify him and in his plaint the respondent claimed not only the KShs871 000 as the value of his stolen items but also a further sum of KShs2 211 704 as special damages at the rate of KShs53 944 per month as lost income from 7 September 1997 for a period of 41 months.

The appellant denied liability for the claim of the respondent but after the trial a Commissioner of Assize (Mr Birech) found the appellant liable. He held that the respondent had insured his goods against burglary and he awarded to him KShs871 000 as the value of those goods. He also held that the respondent's loss of income was KShs45 705 per month but that the respondent was bound to mitigate his damages and that the respondent should have been able to restart his business within one year. He accordingly awarded to the respondent a further sum of KShs548 460 as constituting the respondent's "losses", arising from the appellant's failure to indemnify the respondent within a reasonable time.

The appellant appealed against liability (grounds one and two) and against the award of KShs548 460 (grounds three and four). The respondent also cross-appealed on four grounds complaining that he ought to have been given damages for the full 41 months claimed by him, that interest should have been awarded to him at the rate of 30% per annum, that the Commissioner, in assessing loss of income had failed to take into account the loans he had been repaying to some bank(s) and that the Commissioner erred in law in holding that he (respondent) should have mitigated his loss.

When the hearing of the appeal opened before us, Mr Tuiyot for the appellant, abandoned grounds one and two in the memorandum of appeal. That being so, the issue of the appellant's liability to indemnify the respondent in respect of the lost items is no longer a live one. The appellant must accordingly pay to the respondent the sum of KShs871 000 representing the value of the Page 243 of [2005] 1 EA 240 (CAK) goods which the respondent had insured with the appellant and which were stolen from the respondent's clinic.

That leaves us only with the issue of whether the appellant was under a duty to pay to the respondent special damages in the form of lost earnings. The answer which we give to this issue will largely determine the outcome of the cross-appeal by the respondent.

The starting point in answering that issue must be the contract of insurance itself. A copy of the policy was produced before the Commissioner as defence exhibit 5. We have meticulously gone through that document and none of its provisions state that the respondent would be entitled to any other payment apart from the value of the insured goods. In the document, the appellant agreed to indemnify the respondent against:

"1. Loss of or damage to property insured or any part thereof whilst within the premises by theft following upon actual forcible and violent entry into or exit from the premises.

2. Damage to the premises falling to be borne by the insured (respondent) arising out of such entry or exit or any attempt thereat. . . and the company (appellant) will pay the value of the loss or damage to the property so lost or damaged including the value of damage to the premises to an amount not exceeding in total the sum insured in the schedule."

That was the extent of the appellant's undertaking to the respondent and there was no question of any sort of damages being provided for in the contract.

But Mr Ombachi for the respondent told us that since the policy did not exclude payment of any damages as was the case in Corporate Insurance Co Ltd v Wachira [1995-1998] 1 EA 20 where consequential loss was expressly excluded under the terms of the policy, there was nothing in law to prevent them from claiming damages which naturally followed from the breach of the terms of the policy of the appellant. That argument looks attractive, but in our view it ignores the basic principles underlying a contract of insurance. The argument comes very close to saying that what is not excluded by the terms of the policy is claimable under the ordinary principles governing the breach of any contract. We do not think there is any support for that contention. In their book The Law of Insurance, (2ed), under the heading The Contract of Insurance and sub-heading Indemnity at 4, Preston and Colinvaux state as follows:

"Indemnity, it has been said, is the controlling principle in insurance law, and by reference to that principle a great many difficulties arising on insurance contracts can be settled. Except in insurance on life and against accident the insurer contracts to indemnify the assured for what he may actually lose by the happening of the events upon which the insurer's liability is to arise, and in no circumstances, is the assured in theory entitled to make a profit of his loss. That role might be inferred as being the intention of the parties, having regard to the aim of a contract of insurance, but there are further powerful reasons for its application. Were it not so, the two parties to the contract would not have a common interest in the preservation of the thing insured and the contract would create a desire for the happening of the event insured against. Where in fact the assured has a prospect of profit, there and there only can arise the temptation to crime, fraud or such carelessness as may bring about the destruction of the thing insured."

That is very powerful language, but the passage nevertheless brings out the basic concept underlying a contract of insurance, namely that the party whose property is being insured pays premium not with the intention of making any

profit out of the transaction but rather with the intention that were the item assured to be destroyed, stolen or damaged, the other party offering the policy would replace the stolen or destroyed item or pay the reasonable charges for its repair.

Of course, there is nothing to stop the parties agreeing in their contract of insurance that consequential loss would be compensated. Macgilvary and Parkington on Insurance Law (8ed) put it thus under the heading "Insurance Against Pecuniary Loss" at 961:

"1. Consequential Loss Insurance:

2140: Loss of profits: Many businesses wish to insure against the possibility of a fire or other catastrophe giving rise to a loss of profits or additional expense during the period after the occurrence of the peril insured against. It is accepted law that an ordinary insurance policy against for example, fire does not cover loss of profit and it has even been held that a loss of market caused by delay arising from a peril insured against is not covered by a standard form policy. Any type of consequential loss can be insured, but loss of profits or additional expenditure are the most usual subjects of insurance and for this reason the insurance discussed in this chapter is often referred to as loss of profits insurance . . .

It follows that loss of profits and other forms of consequential loss must be described in the policy and insured as such. The purpose of the insurance it to put the insured into the position he would be in if the profits had been earned. . .

One thing is clear from this text; ordinary or standard form policies or contracts of insurance do not cover consequential loss unless the parties specifically contract that such loss would be covered. The (4ed) of Denis Riley's book Consequential Loss Insurances and Claims specifically deals with such policies, namely consequential loss policies.

The policy of insurance between the appellant and respondent was an ordinary or standard form contract and as such there was nothing to import into that policy the element of consequential loss. The respondent's claim was that the loss was occasioned by the appellant's wrongful repudiation or refusal to pay for the loss of the items the policy covered, but we do not think this takes the matter any further. The parties could have covered such an eventuality in their policy of insurance and in the absence of such a provision; the respondent was not entitled to claim consequential loss of profits. That was what this Court rejected in the case of Corporate Insurance to which we have already referred.

It follows that the appellant's appeal must succeed on grounds three and four in the memorandum of appeal. Grounds one and two, as we have said, were abandoned. Accordingly we allow the appellant's appeal to the extent that the Commissioner of Assize's order awarding to the respondent KShs548 460 as loss of income for one year is set aside and the total sum of KShs1 419 460 awarded to the respondent by the Commissioner is reduced by the said KShs548 460 leaving a balance of KShs871 000. It follows that the respondent's cross-appeal must fail since we have held that the respondent was not entitled to loss of income under the policy. The claim for interest at the rate of 30% was on the basis that the respondent was repaying some loans to a bank or banks which has financed the purchase of the lost items and that the rate of interest on those loans was at 30%.

There was no provision for such rate of interest in the policy of insurance. Accordingly, we order that interest at Court rates shall be paid by the appellant to the respondent on the sum of KShs871 000 with effect from the date of filing of the suit until payment in full. Our final orders shall be that the appeal of the appellant is allowed to the extent already indicated herein. The cross-appeal is dismissed in its entirety. On costs, the appellant shall have the costs of its appeal since it has succeeded on two grounds and abandoned the other two grounds. We, however, make no order as to the costs of the cross-appeal.

For the appellant:

Corporate Insurance Co Ltd v Wachira

[1995–1998] 1 EA 20 (CAK)

Division: Court of Appeal of Kenya at Nairobi

Date of judgment: 5 January 1996

Case Number: Case Number: 151/95

Before: Gicheru, Kwach and Shah jja

Sourced by: LawAfrica

Summarised by: Summarised by A Mwanzia

[1] Arbitration – Arbitration clause in insurance policy – Suit filed without reference to arbitration – Defendant entering appearance, filing defence and raising objection to the suit without applying for stay of proceedings – Whether

mandatory to apply for stay of proceedings – Section 6 – Arbitration Act (Chapter 49).

[2] Insurance – Indemnity – Motor vehicle comprehensive cover policy with insurer – Motor vehicle driven by unauthorised driver – Whether damages for repair costs and consequential loss recoverable under policy.

Editor's Summary

The respondent's deceased husband (plaintiff) was the owner of a motor vehicle insured by the appellant. While the vehicle was at a garage for repairs, an apprentice took the vehicle out on a road test and crashed. The plaintiff submitted a claim to be indemnified for the loss but this was rejected by the appellant which disclaimed liability.

The plaintiff filed suit against the appellant notwithstanding that the insurance policy contained an arbitration clause and no such reference to arbitration had been made. The plaintiff died and was substituted in the suit by his wife (respondent).

The appellant entered appearance and filed a defence denying liability. It also raised a preliminary objection asking for the suit to be struck out on the ground it had been prematurely brought without the dispute first being referred to arbitration. The trial Judge overruled the objection because the appellant had not complied with section 6 of the Arbitration Act (Chapter 49) as it had not applied for a stay of proceedings. Judgment was given in favour of the plaintiff for KShs 64 938 for repairs, KShs 1 080 000 general damages for loss of business, and KShs 60 000 for loss of user.

The appellant appealed on the damages awarded and rejection of the defence based on the arbitration clause.

Held – The arbitration clause was in the nature of a Scott v Avery clause which provides that disputes shall be referred to arbitration and that the award of arbitration is to be a condition precedent to the enforcement of any rights under the contract. A Scott v Avery clause can provide a defence to a claim but the party relying on it cannot circumvent the statutory requirement to apply for a stay of proceedings. If the appellant had wished to invoke the clause, it ought to have applied for a stay of proceedings after entering appearance and before delivering any pleading. By filing a defence, the appellant had lost its right to rely on the clause (Kenindia Assurance v Mutuli [1993] LLR 2833 (CAK) applied.

The award of KShs 60 000 for loss of user was erroneous as there was no provision in the policy for indemnification for this kind of loss and because the appellant was not the tortfeasor or the employer of the person who had actually caused the damage to the vehicle.

The award of KShs 64 938 in respect of repair charges was erroneous as it was consequential loss excepted under the contract of insurance because the vehicle was driven by an unauthorised driver at time of loss.

The award of KShs 1 080 000 general damages for loss of business was compensation for consequential loss which was expressly excluded under the terms of the policy. The claim was one for special damages and had been neither pleaded nor strictly proved as required by law.

Appeal allowed, judgment and decree of High Court set aside and plaintiff's suit dismissed.

Case referred to in judgment

("A" means adopted; "AL" means allowed; "AP" means applied; "APP" means approved; "C" means considered; "D" means distinguished; "DA" means disapproved; "DT" means doubted; "E" means explained; "F" means followed; "O" means overruled)

Kenindia Assurance Co Ltd v Muturi [1993] LLR 2833 (CAK) – AP

Judgment

GICHERU, KWACH AND SHAH JJA: Geoffrey Wachira Mahinda was the original plaintiff (the plaintiff) in this case. After his death during the pendency of the suit in the superior court, he was substituted by his wife Loise Wanjiru Wachira (the respondent) as his legal representative.

The plaintiff was the owner of a motor vehicle registration number KVF 090 (The vehicle) in respect of which there was a comprehensive insurance policy issued by Corporate Insurance Company Limited (the appellant) on 25 January 1986. Under this policy, the appellant agreed to indemnify the plaintiff against loss of or damage to the vehicle and injury to third parties. On 25 December 1987, the plaintiff instructed his son to take the vehicle to a garage at Kiawara, in Nyeri, owned by Julius Ndegwa Gathuku, so that the exhaust which was said to be leaking, could be repaired. Gathuku assigned his apprentice welder, one Wilson Kinyua to carry out the necessary repairs. Without the knowledge, consent or authority of Gathuku, and apparently against his express instructions barring Kinyua from driving customers' vehicles, Kinyua took the vehicle out of the workshop on a road test and crashed into an electric power pylon causing extensive damage to the vehicle. Kinyua was charged with and convicted of careless driving and driving a motor vehicle without a driving licence. The plaintiff submitted a claim to be indemnified for the loss and damage arising from the accident but this was rejected by the appellant which disclaimed liability.

Notwithstanding the fact that the insurance policy contained a clause stipulating that all disputes arising had to be referred to arbitration, and before any such reference was made, the plaintiff filed a suit against the appellant claiming damages for alleged breach of contract. The reliefs sought in the plaint included a sum of KShs 124 938 made up of KShs 64 938 (being repair charges) and KShs 60 000 in respect of loss of user at the rate of KShs 1 000 per day. There was also a claim for general damages.

The appellant entered appearance and also filed a defence denying liability on the grounds:

(a) that at the time of the accident the vehicle was being driven by an unauthorised driver in breach of the policy;

(b) that the suit was premature and incompetent because of a clause in the policy referring all disputes to arbitration before going to court; and

(c) that the appellant had repudiated the claim.

This defence was filed on 22 April 1998. At the commencement of the trial on 12 August 1992, counsel for the appellant raised a preliminary objection and asked for the suit to be struck out on the ground that it had been prematurely brought without the dispute first being referred to arbitration as stipulated by clause 10 of the policy. The Judge overruled the objection because he found as a fact that the appellant had not complied with the mandatory provisions of section 6 of the Arbitration Act (Chapter 49). The appellant after filing an appearance delivered a defence and made no application to stay. The Judge gave judgment for the plaintiff for KShs 124 938 because he held that although Kinyua was not an authorised driver within the meaning of section 1 of the policy, in the circumstances in which the accident happened, the claim fell under section IV of the policy where the damage occurs while the motor vehicle is in the custody of a motor trader for the purposes of being repaired.

The Judge did not stop there. He went further and awarded the plaintiff a sum of KShs 1 080 000 in general damages which he referred to as direct consequential loss which had resulted from the appellant's failure to expedite payment of the repair charges within a reasonable period. This amount was arrived at on the basis that because of the delay in settling the claim, the plaintiff's suit-making business, from which he made KShs 12 000 per day, ground to a halt for 90 days for lack of transport.

Evidence was given that the plaintiff used to sell six suits a day at KShs 2 000 apiece and that he needed transport to make deliveries to his customers.

The memorandum of appeal contains 14 grounds of appeal but looking at them closely the appellant's complaints relate to:

(1) the sum of KShs 1 080 000 awarded as general damages for loss of business;

(2) KShs 60 000 for loss of user for 60 days and KShs 64 938 in respect of repair charges;

(3) the Judge's rejection of the appellant's defence based on the arbitration clause.

We deal first with the complaint relating to the arbitration clause. Clause 10 of the policy provided that all differences were to be referred to arbitration and that the making of an award was to be a condition precedent to any right of action against the company. As we have already said, the appellant filed its defence on 22 April 1988, the same day that it also entered appearance. The appellant made no application for stay of proceedings but when the case came up for hearing on 12 August 1992, more than four years later, the appellant's advocate raised the arbitration issue in the form of a preliminary objection which the Judge overruled.

Section 6(1)(a) of the Arbitration Act (Chapter 49) (the Act) provides that

"6 (1) If a party to an arbitration agreement or a person claiming through or under him, commences any legal proceedings in any court against any other party to the agreement, or against a person claiming through or under him, in respect of a matter agreed to be referred –

(a) Any party to those proceedings may at any time after appearance, and before delivering any pleadings or taking any other steps in the proceedings, apply to that court to stay the proceedings".

In the present case the appellant did mote than just enter an appearance. It delivered a defence, which is of course a pleading, raising clause 10 of the policy as a defence. The appellant made no application for stay of proceedings. The appellant was a party to an arbitration agreement within the meaning of section 6 of the Act but Mr Muthoga's submission before us was that because of the nature of the clause, the appellant was not bound to apply for a stay of proceedings but could raise it as a defence to the claim. Arbitration clauses such as clause 10 in the policy are known as Scott v Avery arbitration clauses named after a leading case decided by the House of Lords in England way back in 1856 in which their efficacy was considered and have long been accepted as valid. These clauses do more than provide that disputes shall be referred to arbitration. They also stipulate that the award of an arbitration is to be a condition precedent to the enforcement of any rights under the contract; so that a party has no clause of action in respect of a claim falling within the clause, unless and until a favourable award has been obtained.

While we agree with the proposition that a Scott v Avery arbitration clause can provide a defence to a claim, we cannot accept the submission that the party relying on it can circumvent the statutory requirement to apply for a stay of proceedings. In the present case, if the appellant wished to take the benefit of the clause, it was obliged to apply to a stay after entering appearance and before delivering any pleading. By filing a defence the appellant lost its fight to rely on the clause.

The procedure in England in relation to these clauses is summarised at 165 in the Law and Practice of Commercial Arbitration in England by Mustill and Boyd (2 ed) as follows:

“A Scott v Avery clause performs two different functions. First, it creates an obligation to arbitrate: and as such, it gives the defendant in a High Court action the right to apply for a stay of the proceedings, second, it creates a condition precedent to the plaintiff’s right of action; and as such, it gives the defendant a substantive defence to the claim. A defendant sued in a breach of a Scott v Avery provision thus has a choice of remedies. In law, he is entitles to bide his time and rely on the Scott v Avery point at the trial. But the court does not approve of this procedure, because, because it wastes the costs of the action. The right is for him to apply for a stay” (underling ours).

That is what the appellant should have don and that is what this Court said should be done in the case of Kenindia Assurance Co Ltd v Muturi [1993] LLR 2833 (CAK). In our view, therefore, the Judge was right to reject the appellant’s preliminary objection. This ground of appeal accordingly fails.

We now deal with the awards made in respect of repair charges and loss of user. The award of KShs 60 000 for loss of user was quite plainly erroneous as there was no provision in the policy for this kind of loss and secondly, because the appellant was not the tort-feasor or the employer of the person who actually caused the damage to the plaintiff's vehicle. If the plaintiff had sued the owner of the garage he would have been entitled to an amount for loss of user. Insurance claims arising from damage or loss are of such a nature that they take quite a bit of time to investigate and to attempt to impose a time limit within which they must be settled would not only be unreasonable, but would also impose an intolerable burden on insurance companies. This ground of appeal accordingly succeeds and we set aside the award of KShs 60 000 made in respect of loss of user.

We now consider the sum of KShs 64 938 in respect of repair charges. To determine the propriety or otherwise of this award we have to interpret the relevant clauses in the policy.

Clause 1 in section 1 of the policy provides:

"(1) The Company will indemnify the insured against loss of damage to the motor vehicle and its accessories and spare parts whilst thereon. The liability of the company shall not exceed the value of the parts lost or damaged and the reasonable cost of fitting such parts it being understood that the company's liability shall be limited to the reasonable market value of the motor vehicle at the time of the loss or damage but not exceeding the insured's estimate of value stated in the schedule".

Exceptions to section 1 provide, inter alia, that the company shall not be liable to pay for consequential loss. Under General Exceptions it is provided that the company shall not be liable in respect of any accident loss damage or liability caused sustained or incurred whilst on the insured's order or with his permission or to his knowledge any motor vehicle in respect of which indemnity is provided by the policy is being driven by any person other than the authorised driver or is for the purpose of being driven by him in the charge of such person.

"Authorised driver" is defined as the insured or any person driving on his order or with his permission and is a holder of a valid driving licence.

As the accident occurred while the motor vehicle was in the custody of a motor trader, the appellant's liability for the repair charges has to be determined under Section IV of the policy which so far as material states:

"Notwithstanding General Exception 1(b) the indemnity provided by this policy shall be operative but only so far as it relates to the insured whilst the motor vehicle is in the custody or control of a member of the motor trade for the purpose of overhaul upkeep or repair".

General Exception 1(b) provides that the company shall not be liable in respect of any accident. Loss, damage or liability caused or incurred, whilst on the insured's order or with his permission or to his knowledge the motor vehicle, is being driven by any person other than the authorized driver. Although the motor vehicle was in the custody and control of a motor trader for the purpose of repair, the appellant cannot be held liable because Kinyua was not an authorised driver. Julius Ndegwa Gathuku (the motor trader) who was the employer of Kinyua and who would have been responsible for his actions disowned him. He was called as a witness by the plaintiff and he gave evidence in support of the plaintiff's claim against the appellant. Ndegwa testified that Kinyua was not authorised to drive customers' motor vehicles but Kinyua's evidence was that he was driving the motor vehicle on test after repairs. In the final analysis, since Kinyua was not an authorised driver, that risk was not covered by the policy. Accordingly, we allow this ground of appeal and set aside the award made by the Judge in respect of repair charges.

The award of KShs 1 080 000, general damages, for loss of business cannot stand for two reasons. First, it is compensation for consequential loss which is expressly excluded under the terms of policy. Secondly, the claim is in fact one for special damages and it was neither pleaded not strictly proved as required by law.

For all these reasons, we would allow this appeal, set aside the judgment and decree of the High Court and substitute therefore an order dismissing the plaintiff's suit with no order as costs. In view of the fact that the original plaintiff is now deal, we make no order for costs in the appeal as well.

For the appellant:

LG Muthoga instructed by Muthoga Gaturu & Co

For the respondent:

Datoo and another v Estate Duty Commissioner

[1967] 1 EA 208 (HCT)

Division: High Court of Tanzania at Dar-Es-Salaam

Date of judgment: 10 November 1966

Case Number: 6/1966

Before: Otto J

Sourced by: LawAfrica

[1] Estate duty – Life insurance policies – Assigned three years before death – Whether deceased retained substantial interest therein – Estate Duty Act, 1963, s. 7 (1) (d) and (f) and s. 12 (T.).

[2] Insurance – Life insurance policies – Assigned three years before death – Whether deceased retained interest under Estate Duty Act, 1963 (T.).

Editor's Summary

The Estate Duty Commissioner had charged and levied duty on the proceeds of two policies of insurance on the life of the deceased. The policies were taken out by the deceased on his own life in 1960 and on January 22, 1962, he executed a transfer of them in favour of his wife with a proviso that in the event of his wife predeceasing him or of the policy maturing for some event other than death, the policy should revert to the deceased. The deceased continued to pay the premiums until the date of his death on May 10, 1965. An appeal was made under s. 32 of the Estate Duty Act, 1963 (T.).

Held –

(i) the deceased still had an interest in the policies and from the nature of the assignment, he was still competent during his lifetime of disposing of the property in the policies;

(ii) the provisions of s. 7 (1) (d) and (f) of the Estate Duty Act, 1963, were not inconsistent with or repugnant to each other;

(iii) the deceased had a substantial interest in the property and had retained a benefit to himself in the proceeds of the policies.

Appeal dismissed.

Cases referred to in judgment:

(1) A.-G. v. H.R.H. Prince Ernest Augustus of Hanover, [1957] 1 All E.R. 49.

(2) Wood and Another v. Riley (1867), L.R. 3 C.P. 26.

(3) Wilcox v. Smith (1857), 47 Drew. 40.

Judgment

Otto J: This is an appeal against the Estate Duty Commissioner, who has charged and levied estate duty on the proceeds of two policies of insurance on the life of the deceased. The facts themselves are simple and are not in dispute. The two policies of insurance were taken out by the deceased in 1960, on his own life, and on January 22, 1962, that is before the Estate Duty Act, 1963, came into force, he executed a transfer in favour of his wife. It is recited that he assigned the two life policies to his wife, the recital reading that he transferred all his right and interest in the two policies in favour of his wife, provided, however, that in the event of her predeceasing or upon the maturity of the policy other than by death, the policy should revert as if the transfer had never been made. The deceased at all times continued to pay the premiums up until the date of his death, and he died on May 10, 1965. It will be seen therefore that the assignment of the policies was made more than three years before the date of death and at a time when there was indeed no Estate Duty Ordinance in force. The appeal is made under s. 32 of the Estate Duty Act, 1963.

The Act itself recites in s. 7 that a tax, to be called the estate duty, shall be levied, s. 7 reading as follows:

"7(1) Whenever any person dies, a tax to be known as estate duty shall, save as is hereinafter provided, be levied and paid on:

(a) all property in which the deceased was at the time of his death competent to dispose;

(b) all property in which the deceased or any other person had an interest ceasing upon the death of the deceased;

(c) all property which immediately before the death was held for the use or enjoyment of two or more persons of whom the deceased was one either jointly or in accordance with or subject to the exercise of a discretion;

(d) the proceeds of any policy of assurance on the life of the deceased;

(e) any annuity commencing or benefit becoming due on the death of the deceased which was provided by the deceased, either by himself alone (including by the exercise of a general power of appointment by the deceased) or in concert or by arrangement with any other person, other than any annuity or benefit payable under any written law or to or in respect of a dependant of the deceased as such;

(f) any property of which or of any interest in which a disposition was made:

(i) within three years of the death of the deceased and after the twelfth day of June, 1963; or

(ii) at any time if, within three years of the death of the deceased and after the twelfth day of June, 1963, the deceased had any power of appointment, or power of revocation or of declaration of trusts in relation to the property, or received any income from the property, or received or retained any benefit under any agreement or arrangement, whether or not enforceable by law, made at any time under or in connection with the disposition,

if and to the extent that:

(A) the property would have been liable to estate duty on the death of the deceased had the deceased died immediately before the disposition was made; and

(B) the effect of the disposition concerned would, apart from the provisions of this paragraph, have been to diminish the aggregate value of the property liable for estate duty on the death of the deceased had he died immediately after the disposition was made:

Provided that in no case shall estate duty be chargeable, under the provisions of the foregoing paragraphs, more than once on the same share of or interest in any property in respect of the same death.

(2) For the purposes of subparas. (A) and (B) of para. (f) of sub-s. (1) of this section, where any disposition of property was made prior to the date upon which this Act comes into operation, any question whether or to what extent the property would have been liable to estate duty on the death of the deceased had the deceased died immediately before the disposition was made, or whether or to what extent the effect of the disposition would, apart from para. (f) aforesaid, have been to diminish the aggregate value of the property liable for estate duty on the death of the deceased had he died immediately after the disposition was

made, shall be determined as if this Act had been in operation both immediately before and immediately after the disposition was made.”

It will be seen that s. 7 (1) (d) specifically refers to the proceeds of a policy of assurance, and there is further reference in the Act to policies of assurance in s. 12, which reads:

“12(1)No estate duty shall be payable in respect of the proceeds of any policy of assurance:

(a) in respect of which the deceased provided no premium during the three years immediately preceding his death; and

(b) in or over which the deceased had at no time during the three years immediately preceding his death any interest or power of disposition.

(2) Subject to the provisions of sub-s. (1) of this section, where only part of the premiums paid in respect of a policy of assurance were provided by the deceased, estate duty shall be payable on the proportion of the proceeds of the policy which the amount of the premiums provided by the deceased bore to the amount of all the premiums paid in respect of the policy.”

It was the argument of learned counsel for the appellant that because these two policies of assurance had been assigned absolutely more than three years before the death of the deceased, they were not property such as to attract duty. Learned counsel referred to the words of s. 7 (1) (d), and said they were far too wide and general and I would agree that that is correct if one takes s. 1 (d) entirely out of its context and without reference to any of the other provisions of the Act. Certainly one could cite many instances of particular policies of assurance on the life of the deceased person which could never be said to be property of which the deceased was prior to his death competent to dispose. That is not property belonging to the deceased. Learned counsel requested that one should look at the objects and reasons for the imposition of estate duty, which were published with the draft Bill on June 11, 1963. After reciting that there had previously been a tax called estate duty and expressing the intention of reintroducing this duty, it was recited that “By cl. 7, duty is chargeable on the property of all persons dying on or after the date on which the Act comes into operation, on all other property which passes, and on certain benefits which arise, on the death, and on property disposed of by the deceased within three years of his death, if the aggregate value of the estate is five thousand pounds or more." In his submission that one should look at the Memorandum of Objects and Reasons, counsel cited the case of A.-G. v. H.R.H. Prince Ernest Augustus of Hanover (1). Counsel also referred to the case of Wood and Another v. Riley (2). This case deals with the interpretation of enactments and in this connection it was the submission of counsel for the appellant that the provisions of s. 7 (1) (d) and s. 7 (1) (f) were inconsistent and that where there are two sections which are repugnant, it is the known rule that the provisions of the last section must prevail. Counsel said that here there had been a disposition of property made outside the three-year period and indeed at a time when no estate duty at all was payable. In the result it is submitted that the Commissioner is not entitled to levy any duty.

The Senior State Attorney appeared on behalf of the Estate Duty Commissioner, and while conceding that the arguments of learned counsel for the appellant were undoubtedly attractive, he said they could not possibly be a true and correct interpretation of the Estate Duty Act. Learned Senior State Attorney said that here the provisions of s. 12 were not satisfied, in that this section required two conditions before there can be any exemption in the payment of estate duty in respect of the proceeds of any policy of assurance. It was not in dispute that the deceased himself had provided the premiums for both policies during the three years immediately preceding his death, and indeed counsel for the appellant agreed and he said it was not contested for a single moment that the deceased paid all the premiums in respect of these policies up until the date of his death. Learned Senior State Attorney also pointed out that there were specific provisions in the Act concerning policies of assurance and that one must consider the Act as a whole.

In reply counsel for the appellant said that it was not for the appellant to claim exemption under s. 12 until the Commissioner himself had satisfied the court that he was indeed entitled to levy estate duty under one or other of the provisions of s. 7. He said the burden was cast upon the Commissioner first to satisfy the court that the provisions did indeed entitle him to levy the duty and counsel quoted Dymond's Death Duties (11th Edn.) at p. 7, and counsel said he was not availing himself of the provisions of s. 12, because the Estate Duty Commissioner had not discharged the burden of proving that duty is payable.

The arguments of learned counsel for the appellant are indeed attractive and the provisions of the Estate Duty Ordinance are far from clear. I would agree that the provisions of s. 12 do not apply and cannot apply and counsel agreed that they were not attempting to claim exemption under the provisions of s. 12. The right to levy duty must in the first instance be found within the provisions of s. 7. I am of opinion that the interpretation of s. 7 as a whole does give the Estate Duty Commissioner the right to charge and levy duty in the present instance.

I was referred to Dymond's Death Duties (11th Edn.). I do not have the 11th edition, but the 12th edition, and the relevant provisions to which I was referred are identical, and this concerns the burden of proof and construction of taxing Acts. Various examples are given and, to use the words of Dymond, the onus is on the revenue to show that there are clear words which impose the tax or duty on the subject. One of the examples at p. 9 is worth quoting:

"If the Act is ambiguous, the subject is entitled to the benefit of the doubt; but the principle is, not that the subject is to have the benefit if, upon any argument that the ingenuity of counsel can suggest, the Act does not appear perfectly accurate; but that, if, after careful examination of all the clauses, a judicial mind shall entertain any reasonable doubt as to what the legislature intended, then the subject shall have the benefit of the doubt. (Wilcox v. Smith (1857), 4 Drew. 40, per Kindersley, V.-C., at p. 49.)"

In the instant case I am of opinion that these policies are liable to duty because the deceased still had an interest in the policies and, from the nature of the assignment, he was still competent during his lifetime of disposing of the property in the policies. It may well have been otherwise if the assignment had been framed differently. English authorities are of little or no assistance because the wording of the English Finance Acts are entirely different. Looking at the provisions of s. 7 as a whole I cannot see any real inconsistency between the provisions of s. 7 (1) (d) and s. 7 (1) (f). It may well be that the provisions of s. 7 (1) (f) could have been more clearly framed, but I cannot agree with the submissions of counsel that the two sections are indeed repugnant.

I hold that the deceased had a substantial interest and that this was property which the deceased was at the time of his death still competent to dispose, notwithstanding the assignment in favour of his wife. He certainly retained a benefit to himself in the proceeds of the policies. In the result the appeal is dismissed.

Appeal dismissed.

For the appellants:

Fraser-Murray, Roden & Co., Dar-es-Salaam

A. A. Lakha

For the respondent:

Tejani and another v Life Insurance Corporation of India

[1968] 1 EA 242 (HCU)

Division: High Court of Uganda at Kampala

Date of judgment: 2 February 1968

Case Number: 424/1963 (23/68)

Before: Sheridan J

Sourced by: LawAfrica

[1] Contract – Payment – Payment by cheque through post of premium on life policy – Observations as to effect of.

[2] Insurance – Life policy – Premium paid by cheque dated before but received after the insured's death – Whether insurance policy lapsed – Usage to accept payment of premium by cheque.

Editor's Summary

The plaintiffs were the administrators of the estate of the deceased, whose life was insured under an insurance policy with the defendant insurance company. The plaintiffs notified the defendant of the insured's death, which had occurred on January 31, 1963, by letter on February 7, 1963; but the defendant repudiated liability to pay the agreed bonus of Shs. 25,000/- on the ground that the premium of Shs. 1,275/- due on January 28, 1963, was not received by it until February 4, 1963. The plaintiffs claimed that the premium was paid by a cheque drawn by one of the plaintiffs on the Standard Bank in Kampala and posted to the defendant correctly addressed on January 21, 1963. The cheque was presented for payment by the defendant company on February 5, 1963. The defendant stated that the cheque was received by it on February 4, 1963. At the deceased's funeral on February 1, 1963, Mr. Gore, the defendant company's Masaka manager, stated that he had a conversation with the deceased's mother-in-law, in the course of which Mr. Gore was informed that due to an oversight a premium on the deceased's policy was not paid. The defendant company tendered repayment of the sum of Shs. 1,275/- paid to it on February 5, 1963.

Held –

(i) that, on the evidence, the cheque was posted after the deceased's death and was received on February 4, 1963; and

(ii) that the policy was not subsisting on January 31, 1963.

Observations –

(i) as a general rule, a debtor must seek out and pay his creditor; and an assured, if he chooses for his own convenience to send money in any form through the post, does so at his own risk;

(ii) it was the defendant's sanctioned usage to receive payment by cheque;

(iii) there was no evidence that the defendants had made the post office their agent for acceptance of premiums so that the deceased's debt would have been discharged by posting a letter containing a cheque duly addressed to the defendants.

Suit dismissed with costs.

Cases referred to in judgment:

(1) Pennington v. Crossley & Son (1897), 77 L.T. 43; 13 T.L.R. 513.

(2) Tankexpress A/S v. Compagnie Financière Belge des Petroles S.A., [1948] 2 All E.R. 939; [1949] A.C. 76.

Judgment

Sheridan J: By a plaint dated August 3, 1963 the plaintiffs, as executors and administrators of the will of Bandali Dharamshi Tejani (deceased), are claiming Shs. 25,000/- plus a bonus of Shs. 320/- under a policy of life insurance No. 2600223 dated February 3, 1962 (Exhibit A) and made between the deceased and the defendants, who carry on business of life insurance in Uganda, in consideration of the premiums paid and to be paid by him to them upon the terms mentioned therein. On proof of the deceased's death the defendants agreed to pay Shs. 25,000/-, plus any bonus accrued, to the executors and administrators.

On January 31, 1963, the deceased died at Mulago Hospital, Kampala. The main controversy in the suit is whether the policy was still then in force.

The relevant allegations are set out in paras. 5 and 6 of the plaint as follows:

"(5) The plaintiff duly notified the defendants of the death of the said Bandali Dharamshi Tejani by letter dated February 7, 1963, but the defendants have repudiated liability on the ground that the premium of Shs. 1,275/- due on 28.1.1963 within thirty days of grace was not received until 4.2.1963.

(6) The said premium was paid by cheque No. 26099 drawn by Hyderali Dharamshi Ltd. on the Standard Bank in Kampala and posted to defendant correctly addressed on January 21, 1963. It is the normal custom of the defendant to receive payment by cheque and pursuant to such custom the first premium for Shs. 1,275/- was paid by cheque No. A41651 of 29.12.61 drawn by the deceased Bandali Dharamshi Tejani. The said cheque No. 26099 would in the normal course of post arrive at defendant's office in Kampala not later than January 23, 1963, and payment was therefore made upon the said January 23, 1963. The said cheque was received by defendant and was presented for payment and paid on February 5, 1963, and the value thereof has not been repaid."

In their written statement of defence the defendants deny:

(1) that the policy was in force on January 31, 1963;

(2) that the cheque was posted on January 21. They contend that it was posted after the deceased's death;

(3) that it was their normal custom to receive payment of premium by cheque;

(4) that they ever sanctioned or authorized the deceased to pay the premium by cheque;

(5) that they ever expressly or impliedly sanctioned or authorized the deceased to remit the premium by post.

Finally, in paras. 11 and 12 they allege:

"11. The defendant states the said cheque No, 26099 for Shs. 1,275/- was received through post at its office in Kampala on February 4, 1963, after the said policy of insurance had lapsed without acquiring any value as the second yearly premium due on December 28, 1962, was not paid within the time stipulated in the said policy.

12. The defendant admits that the said cheque No. 26099 for Shs. 1,275/- was presented by it for payment on February 5, 1963, but that such payment was received without prejudice to the defendant's right under the said policy of insurance to treat the said policy of insurance as lapsed without acquiring any value. A true copy of the deposit memorandum acknowledging the receipt of the said payment is annexed hereto and marked 'DA'. In any event the defendant would contend that since the said insured died on January 31, 1963, payment towards premium after that day was of no effect. The defendant is holding the said sum of Shs. 1,275/- in deposit for and on account of the estate of the said insured and is prepared and willing to release it to the said estate."

On April 2, 1964, when the suit came on for hearing the following issues were agreed:

(1) When was the cheque posted?

(2) When was it received?

(3) Was the policy subsisting on January 31, 1963?

(4) Is it the normal custom to receive payment by cheque?

(5) Did the defendants become liable on the plaintiffs posting the cheque as alleged?

As for various reasons the hearing of the suit has spread over nearly four years it is desirable to set out the evidence in some detail before evaluating it. Mr. Abdul Nanji Dhamani lives at Mukoko, near Masaka. He is an accountant for Wanoni Farmers Association, of which Hyderali Dharamshi, Ltd. are the managing agent. The deceased, who was his brother-in-law, was a director of that company.

On January 20, 1963, he visited the deceased in the Nile Nursing Home, Kampala. The deceased told him that a premium was due on a policy. The witness passed the news on to Mr. Hussein Walji, who is also a director of the company and the deceased's brother-in-law. As they did not know the amount of the premium Mr. Walji gave him the company's blank signed cheque (Exhibit B). Back at Mukoko Mr. Dhamani found the policy and filled in Shs. 1,275/-, the amount of the premium, on the cheque which he dated January 21. He wrote an accompanying letter (Exhibit C) to the defendants, posting both documents at the Bukulula Post Office, near Mukoko, under certificate of postage (Exhibit D) which he wrote out himself.

In cross-examination Mr. Dhamani stated that he and the deceased had lived at Mukoko for three to four years. They were family friends. He knows Mr. Balashanker Kalidas Gore, the defendants' Masaka manager, who used to visit the deceased. On February 1 he saw him at the deceased's funeral at Nabusanke, but he merely expressed his condolences and did not inquire if the premium had been paid. The witness did not say that they were busy and had forgotten it. The deceased had a personal bank account. Mr. Walji gave evidence that Mr. Bhagwanji Ganatra, the company's accountant, filled in the counterfoil of the cheque (Exhibit E), dated January 21, when Mr. Dhamani told him the amount two to three days later. Although he only uses one cheque book at a time, the previous and subsequent counterfoil entries are dated January 21 and April 4 respectively, which does suggest that the company's business was slack. Previous to that the entries are much more regular Mr. Ganatra confirmed Mr. Walji's evidence.

Mr. Desiderio Kagwa, a petrol seller for Jan Mohamed, also runs the postal agency. He signed Exhibit D. He changes the date stamp by hand, every day. On Exhibit D it is only possible to decipher 'Jan' but he denies that Mr. Dhamani brought him Exhibit D to sign on February 1 or 2.

Mr. Jan Mohamed gave evidence that it takes letters two to three days to reach Kampala.

That was the plaintiffs' case.

Mr. Sardoon Singh, the defendants' Uganda manager, says that he received a 'phone call from Mr. Gore on January 31 that the deceased had died. He asked

Mr. Gian Chand Sharma, the office superintendent, to check the position regarding the policy.

On February 4 he opened Exhibit C containing Exhibit B. Exhibit C was date stamped in his presence and impressed with the number “001524” which is the serial number of letters coming in. Then Exhibits B and C were entered in the accounts inward letter register (Exhibit G). Exhibit H is the envelope, but the stamp and post mark have been removed. Mr. Singh cannot say how this happened. Exhibit H was sent to Nairobi and then to Head Office in Bombay. The defendants issued a deposit receipt (Exhibit F) as Exhibit B was received after the risk date. Mr. Singh admitted that the defendants usually accepted cheques in payment of premiums and that their only complaint was that they did not receive Exhibit B by January 28.

Mrs. Amin, who kept the register (Exhibit G) gave evidence that she entered Exhibits B and C on February 4, on the day of receipt, under the serial number “1524” in the normal course of business. Mr. Sharma confirmed her evidence. He also dated Exhibit C “4/2” in red ink. Finally on this part of the case, Paulo Mugenyi collects the mail from the Post Office and hands it to Mr. Singh.

Mr. Gore gave evidence that he canvassed the deceased’s policy at the end of 1961. He met Mr. Dhamani at the funeral. After expressing his condolences he commented on the deceased’s foresight in providing for his survivors as he was insured with the defendants, whereupon Mr. Dhamani told him that they had been very worried by the deceased’s illness, and through oversight a premium wasn’t paid.

On February 2, as a result of a phone call, he went to Mr. Sadrudin Jiwa’s shop where, in the presence of the deceased’s brothers, Mr. Jiwa offered him the premium. Mr. Gore had to decline it as it was too late. Mr. Jiwa asked if the money could be paid through National and Grindlays Bank, the collecting agent, but Mr. Gore’s reply was again discouraging. Mr. Gore would, of course, know if the bank had such authority.

I ignore Mr. Gore's evidence that three months after the funeral Mr. Dhamani informed him that he had paid the premium with a cheque from Kampala, posted from Mukoko, following Mr. Gore's reproach that he had previously said that it had not been paid due to an oversight, as this was not put to Mr. Dhamani in cross-examination.

Mr. Vittelbhai Patel gave evidence that he overheard the conversation between Mr. Gore and Mr. Dhamani at the funeral, about the non-payment of the premium. He appeared to be a non-partisan witness.

Mr. Duffus, the Manager of National and Grindlays Bank at Masaka, recalled a visit by Mr. Jiwa and Mr. Abdul Jan Mohamed after the deceased's death, he thought, at which he denied receiving instructions to pay the premium through the bank as collecting agent.

Mr. Jiwa stated that Mr. Gore told him, after the deceased's death, that the bank had made a mistake in not paying the premium. This is some confirmation of the interview with Mr. Gore, although not as to exactly what was said.

Mr. Abdul Jan Mohamed agreed that he had inquired of Mr. Duffus, after the deceased's death, if the bank had paid the premiums on the insurance, and that the answer had been "no". These two gentlemen were apparently interested in the deceased's affairs as fellow members of the Ismaili Community. They could not be expected to be sympathetic to the defendants' case but, as counsel for the defendants puts it, their evidence may contain important "half-truths".

My first impression in reviewing the evidence, which is in acute conflict, is that Mr. Gore's consolatory remark at the funeral has a ring of truth about it and that following his admission Mr. Dhamani engaged in a flurry of activity which included an attempt to pin responsibility for the payment of the premium on National and Grindlays Bank, and resulted in the antedated cheque and letter

(Exhibits B and C). Mr. Gore triggered off this activity. While I realize that business dealings in Asian circles are not always straightforward, why was it necessary for Mr. Dhamani to get a cheque, on a company of which the deceased was a director, in Kampala and post it from Mukoko with a certificate of postage unless it was to create evidence that steps had been taken to renew the premium before the deceased's death? If there was any urgency about the matter, Mr. Dhamani could have ascertained the amount of the premium from the defendants' Kampala Office. The deceased had his own bank account: I have no evidence as to whether he was too ill to inform Mr. Dhamani of the amount of the premium or to sign his name on a cheque form. I am quite satisfied that the defendants did not receive Exhibits B and C before February 4 as their records, kept with bureaucratic efficiency, reveal, plus the evidence of Mr. Sharma and Mrs. Amin, who favourably impressed me. I prefer this evidence to that of Mr. Kagwa, the petrol seller, who was excusably not so businesslike and who might have been under the influence of Mr. Dhamani. At the same time I must admit that I am somewhat disturbed by the disappearance of the stamp and postmark on the envelope. This may have been the work of a zealous philatelist between Nairobi and Bombay, or of someone trying to obliterate evidence apparently in favour of the plaintiffs' case. Despite this, my conclusion remains the same. On the issues of fact I find:

(1) that the cheque was posted after the deceased's death;

(2) that it was received on February 4; and

(3) that the policy was not subsisting on January 31.

In view of these findings of fact, it is not necessary to say much about the legal issues, but in deference to counsels' submissions I will give my views on them shortly.

The general rule is that a debtor must seek out and pay his creditor; and an assured, if he chooses for his own convenience to send money, in any form, through the post, does so at his own risk. In Pennington v. Crossley & Son ((1897), 77 L.T. 43) the defendants were in the habit of purchasing goods from the plaintiff and for many years had sent him cheques by post, and the plaintiff had never objected to being paid in this way. It was held that there was nothing from which the Court would infer a request by the plaintiff to the defendants for payment by means of a cheque sent through the post, so as to make the loss of a cheque during transmission by the post fall upon him.

The policy (Exhibit A) is silent as to the mode of payment but I think it is clear, without extrinsic evidence as to custom or usage, from the evidence of Mr. Singh, the retention of Exhibit B by the defendants and the contents of Exhibit G, that payment of premiums by cheques through the post was sanctioned – there was more than mere passive acceptance of money paid in this way, as in Pennington’s case (supra) – and that it would have been sufficient if the deceased or someone on his behalf had posted the cheque in time to reach the defendants in the ordinary course of post before the expiration of the time limited for payment, even although, owing to some accident, it was delayed in the post: see Tankexpress A/S v. Compagnie Financière Belge des Petroles S.A. ([1948] 2 All E.R. 939). This mode of payment is, of course, conditioned on the cheque being honoured. There is no evidence before me of delay in the post. The evidence is the other way.

I would answer the fourth issue by saying that it was the defendants’ sanctioned usage, if not normal custom in a technical legal sense, to receive payment by cheque.

On the fifth issue there is no evidence that the defendants had made the post office their agent for acceptance of premiums so that the deceased’s debt would have been discharged by posting a letter containing the cheque duly addressed to the defendants.

For the above reasons the suit is dismissed with costs.

Order accordingly.

For the plaintiff:

RE Hunt

RE Hunt, Kampala

For the respondent:

G Singh

Singh & Treon, Kampala

Kanti & Co Ltd v Oriental Fire & General Insce Co Ltd

[1973] 1 EA 203 (CAN)

Division: Court of Appeal at Nairobi

Date of judgment: 23 March 1973

Case Number: 56/1973 (38/73)

Before: Sir William Duffus P, Spry VP and Mustafa JA

Sourced by: LawAfrica

Appeal from: The High Court of Kenya – Chanan Singh, J.

[1] Insurance – Marine Insurance – Damage – Notice to agent – Interpretation of clause.

[2] Company – Foreign – No place of business in Kenya – Whether company exists.

Editor's Summary

The appellant insured certain goods with the respondent under a contract which required notice to be given of any damage to the respondent's agents or branch and, where the respondent had no agents, to Lloyd's. After this the name E.A. Underwriters Ltd. was typed in.

When damage occurred it was reported to Lloyd's and the report when received was sent to E.A. Underwriters Ltd.

This company was no longer registered with a place of business in Kenya, and a local company had been formed to take over its business.

The respondent repudiated liability on the ground of non-compliance with the requirement of notice and the High Court found in its favour.

The appellant appealed, contending that the clause did not require notice to E.A. Underwriters Ltd., and that if it did, compliance was impossible, as that company did not exist after it ceased to have a place of business in Kenya.

Held –

(i) A foreign company can continue to exist when it has no place of business here, and can do business through agents;

(ii) there was no evidence that the company did not exist;

(iii) the name typed in was of the respondent's agent and report should have been made to that company.

Appeal dismissed.

No cases referred to in judgment.

Judgment

The following considered judgments were read. Spry VP: The appellant company, to which I shall refer as “the importer”, entered into a contract of marine insurance with the respondent company, to which I shall refer as “the insurer”, to cover a consignment of suitcases from Hong Kong to Nairobi via Mombasa.

The policy included the following clause:

SURVEY CLAUSE

In the event of damage to the interest hereby insured immediate notice should be given to the Company’s Agents or Branch (in cases when the Company has no Agents, to Lloyd’s Agents)

East African Underwriters Ltd.,

Nairobi, Kenya

and the Survey Report signed by them obtained without which Survey Report no claim for loss will be paid.

The words I have underlined were typed in a blank space on the printed form.

When the suitcases reached Mombasa, it was apparent that they had suffered damage and the local representative of the importer immediately approached Lloyd’s Agents, who appointed a surveyor. As the port was congested, the packages were removed to the importer’s go-down, where the surveyor inspected them, and after discussions with the representative of the importer, issued a survey report. This was over three months after the goods had reached Mombasa. Nearly three weeks later, the importer sent the survey report and other papers to support its claim, by hand, to East African Underwriters Ltd. This was the first intimation to the insurers that a claim was being made. By this time, the suitcases had been sent from Mombasa to Nairobi and some of them had been sold. The importer received an acknowledgement of its claim purporting to be signed on behalf of East African Underwriters (K.) Ltd., for the insurer. Later, a further letter was sent, repudiating liability on the ground of non-compliance with the survey clause. The importer then sued the insurer in the High Court, but the suit was dismissed with costs. The importer now appeals against the judgment and decree dismissing the suit.

At the hearing of the appeal, two matters were in issue; the first, the interpretation of the survey clause and the second a submission that if that clause required the giving of notice to East African Underwriters Ltd., it was impossible of compliance, because that company was not in existence at the material time.

I propose to deal first with the second of these issues, because once the question of fact is decided, the question of interpretation can be dealt with on that basis, instead of on the basis of alternative possibilities.

In the memorandum of appeal, the importer claimed, on the balance of probability, that the evidence indicated that East African Underwriters Ltd. did not exist at the material time. That was not, however, what had been pleaded in the reply to the defence: there, impossibility of performance had been pleaded "because no company by the name of 'East African Underwriters Ltd.' was in existence in Kenya at the relevant time". The difference may seem small, but I think it is of considerable importance. Obviously, as a matter of law, notice cannot be served on a non-existent body, but if the body exists, the question whether service on it is possible or impossible is one of fact.

The difference is of particular importance, because the insurer chose to call no evidence. All the evidence was that of the importer and it showed that East African Underwriters Ltd. was registered in Kenya on 20 November 1954 as a foreign company having a place of business here, that its last return was filed on 30 January 1967, and that its name was struck off the register on 17 February 1969. There was also evidence that a company named East African Underwriters (Kenya) Ltd. was incorporated in Kenya on 27 April 1966, and that its objects included carrying on insurance and other business "on instructions of and on behalf of" East African Underwriters Ltd. It is clear from the record that the Kenya Company was carrying on insurance business at the material time. On the face of it, I would have thought the balance of probability on that evidence was that East African Underwriters Ltd. was in existence in 1968 but may have ceased to have a place of business here. It is perhaps not without significance that a director of the importer said that he knew East African Underwriters Ltd. were agents of the insurers, but he thought they were settling agents only.

Mr. Shah, for the importer, submitted that for a foreign company to cease to have a place of business was equivalent to ceasing to exist, but with respect I cannot agree. The question whether a foreign company has a place of business is primarily of importance as determining whether it is subject to the provisions of the Companies Act, and it may affect liability to taxation and other matters. But there is nothing to prevent a foreign company which has no place of business in Kenya carrying on business here. Indeed, it is an everyday matter for such companies to do business through agents or by direct postal contacts and there is nothing to prevent such companies suing or, in certain circumstances, being sued in the Kenya courts. In the present case, we know from the importer's evidence that East African Underwriters (Kenya) Ltd. was formed expressly to act as the agent here of East African Underwriters Ltd.

Mr. Shah also argued that an inference that East African Underwriters Ltd. did not exist was to be drawn from the fact that East African Underwriters (Kenya) Ltd. was formed to take over its business. With respect, there is no merit in that argument, which ignores the terms of the Memorandum of Association of the latter company.

The judge held that there was no substance in the submission that East African Underwriters Ltd. did not exist and I think he was right.

I turn now to the interpretation of the survey clause. The judge began by looking at the printed clause and held that it meant that notice was to be given to and a survey report obtained from the insurers' own agent or branch, but that if there were no agent or branch, Lloyd's Agents were to be approached. He then went on to consider the effect of the insertion of the words I have underlined, and held that they meant that East African Underwriters Ltd. was the agent of the insurer and that if that company existed, there was no need or justification for going to Lloyd's Agents.

Mr. Shah, for the importer, attacked these findings. He argued at length that the only way to resolve all difficulties of interpretation was to read the word "or" into the clause immediately before the underlined words. This would give the importer the alternatives of going to an agent or branch (or if there were none, to Lloyd's Agents) or to East African Underwriters Ltd. I may say at once that I can see no justification for such an interpolation.

Mr. Deverell, for the insurer, went to the opposite extreme. He submitted that while the name "East African Underwriters Ltd." was that of an agent, the duty on the importer was to ascertain whether or not there was an agent or branch, whether East African Underwriters Ltd. or some other, and only if there were none could an approach be made to Lloyd's Agents.

On this question, I think the judge was right, both in his approach and in his conclusion. I think the printed form was prepared so that the name of an agent could be inserted and that in the present case the name of an agent was inserted. The duty of the importer was, therefore, to give notice to that agent. There is no need, therefore, to consider what the effect of the clause would have been in other circumstances.

We heard a great deal of argument on the meaning of the words "in cases where the Company has no Agents", but, with respect, I can see no need to consider that question.

The only other matter that calls for consideration is whether the survey clause was, as a matter of fact, impossible of performance and there the answer is simple. When the importer put in his claim, he addressed it to East African Underwriters Ltd. and sent it to an office he knew and it elicited a reply from East African Underwriters (Kenya) Ltd., the agent of East African Underwriters Ltd., expressed to be written on behalf of the insurer. It is abundantly clear that there was nothing to prevent the importer complying with the survey clause, but it made no attempt to do so. As a result, the insurer had no opportunity to inspect the goods or investigate the claim.

I would dismiss the appeal, with costs.

Sir William Duffus P: I have read the judgment of the Vice-President and I agree that this appeal should be dismissed.

The dispute in this case arose over the interpretation of a clause in the insurance policy. The goods covered by the policy were found damaged on the arrival of the ship in Mombasa and the appellant acting under the Survey Clause gave the notice of the damage to Lloyd's Agents in Mombasa and had the goods surveyed. The issue here is whether this was a sufficient compliance with the terms of the Survey Clause. I agree with the simple interpretation of the judge when he said:

"The intention here is, in my opinion, quite clear. Notice was to be given to, and survey report obtained from, the Company's own agents or branch. If the company had no agents or branch, then the Lloyd's Agents had to be approached."

I am, however, further of the view that the words "in cases where the company has no agent" in the clause must mean agents in the place where the damage was discovered and the survey has to take place. The question arises whether the company's agent had to be, in this particular case, in Mombasa or in Nairobi. Mr. Deverell for the respondent submitted that in the circumstances here it was sufficient if the agent was in the country and not necessarily in the port or city where the damage was discovered. I agree with him that this must be a question of degree in each case, but I would have been inclined to have agreed with Mr. Shah for the appellant that in the circumstances here his clients would have been justified in going to Lloyd's Agents if the respondent company had no agent or branch in Mombasa. It does however appear from the evidence called by the appellant company that its employee in Mombasa knew that the respondent company had an agent and or possibly a branch in Mombasa; the telephone number, box number and actual physical address of both the respondent company and of its agent were listed in the telephone book that he produced in court. The appellant company could only justify going to Lloyd's Agents if in fact the respondent company had no agent or branch in Mombasa. In my opinion the onus would be on the appellant company to establish this as a fact but as I have pointed out the evidence shows to the contrary.

I would therefore dismiss the appeal and as Mustafa, J.A., agrees with the judgment of the Vice-President the appeal is dismissed with costs.

Mustafa JA: For the reasons as stated by Spry, V.-P., I agree that the appeal be dismissed with costs.

Order accordingly.

For the appellant:

R. K. D. Shah

For the respondent:

W. S. Deverell (instructed by Kaplan & Stratton, Nairobi)

Livio Carli and others v Salem and Mohamed Bashanfer and others

[1959] 1 EA 701 (SCA)

Division: HM Supreme Court of Aden at Aden

Date of judgment: 19 May 1959

Case Number: 926/1957

Before: Campbell CJ

Sourced by: LawAfrica

[1] Sale of goods – Sale by description – Goods not in accordance with description – Goods rejected by buyer – Whether buyer entitled to reject goods.

[2] Insurance – Marine insurance – Insurance by buyer of goods – Goods insured rejected by buyer – Goods damaged while lying at wharf – Endorsement of policy to seller by buyer after goods rejected and after loss sustained – Whether buyer has any interest in policy after rejecting goods – English Marine Insurance Act, 1906, s. 5 (1), s. 6 (1) and (2), s. 7 (1) and (2) and s. 51.

Editor's Summary

The plaintiffs, a Yugoslavian cement company, and their agent at Aden agreed to sell to the first defendants 200 tons of cement described as "Dalmation Portland Cement B.S.S./12/1947 of Yugoslavian origin. Two Lions brand". The first defendants insured the shipment with the second defendants. The cement which arrived at Aden was of "Salona Towers" brand which the first defendants refused to accept as not being in accordance with the description. According to the plaintiffs the first defendants had orally agreed to the change in brand and to a change in the description from "Two Lions" brand to "Standard Portland Dalmation Cement". After refusing to take delivery the cement was damaged by rain whilst lying at the wharf and later the first defendants assigned the insurance policy to the second plaintiffs as assignee. The insurers claimed that as the first defendants had disclaimed any interest in the policy they themselves could not have claimed, and in consequence, their assignment of the policy to the plaintiffs after the loss occurred was of no effect. The plaintiffs suggested that there was an "implied" or equitable assignment of the policy which arose from the nature of the transaction and that it was valid.

Held –

(i) the first defendants had not agreed to a change of brand or in the description of the cement and accordingly the plaintiffs had failed to tender to the first defendants cement according to the agreed description; since this was a sale by description the first defendants were entitled to refuse to accept delivery;

(ii) when the first defendants rejected the goods they ceased to have any interest in the cement, and there was nothing for them to assign; accordingly the plaintiffs had no insurable interest in the cement at the time of the loss;

(iii) there is no implication that by custom or otherwise in contracts of this description the seller is deemed to be a party to the insurance policy from the outset.

Action dismissed.

Case referred to in judgment

(1) North of England Oil Cake Company v. Archangel Maritime Insurance Company (1875), 10 Q.B. 249.

Judgment

Campbell CJ: The plaintiffs, who are a Yugoslavian Cement Company, and an Italian merchant who is their agent in Aden, agreed to sell 200 tons of cement to the first defendants Messrs. Salem and Mohamed Bashanfer. The second defendants are the insurance company with whom the first defendants insured the shipment.

It was a "c. & f." contract with payment by irrevocable letter of credit. The first defendants took out a policy of insurance to the value of £1,910 paying a premium of E.A.S.2785.95.

Under the contract the cement was to be

"Dalmation Portland Cement B.S.S./12/1947 of Yugoslavian origin. Two Lions brand".

This was the description set out in the application to the Eastern Bank Ltd. for the letter of credit by the defendants.

In fact the plaintiffs sent 200 tons of “Salona Towers” brand cement. The first defendants refused to accept it. It was badly damaged by rain while lying on the wharf and it is in respect of this damage that the suit is brought. The plaintiffs ask that either the first defendants, the buyers, or the second defendants, the insurers, pay them for the cement.

The plaintiffs say that the first defendants agreed to the change in brand. They also say that in any case they were entitled to supply what in fact they sent since the defendants agreed to a change in the description from “Two Lions” brand to “Standard Portland Dalmatian Cement”. The defendants are stated to have done this by their letter to the Eastern Bank Ltd. dated March 3, 1957, exhibit 25, of which the material part reads as follows:

“With further reference to the above letter of credit we shall be obliged if you would extend the expiry and shipment date up to April 30, 1957, and include the following:

“ ‘(1) Standard Portland Dalmation Cement.’

“ ‘(2) The Price is based on a Freight Rate of Shs. 62/- via Suez, per Metric Ton, which freight does not include any surcharge due to the Suez crisis. Any increase to be for our account and amount of l/c to be increased accordingly.’

“Kindly convey the above instructions to your agents in Split/Yugoslavia, by air mail and oblige.”

I am satisfied on the evidence that the first defendants never agreed to any change. They were pressed energetically by the plaintiffs’ Aden agent to change and a letter was drafted for their signature to this effect dated April 14, 1957, exhibit 6. But they did not sign it. I see no reason to accept the verbal evidence given on behalf of the plaintiffs that there was a verbal agreement to accept the change. I do not think it can be said that the probabilities are in the plaintiffs’ favour. All the evidence given was to the effect that “Two Lions” brand was known in Aden and “Salona Towers” brand unknown and that the former would have a better sale. The plaintiffs’ case would be strengthened if they could show that the first defendants only objected after the cement was damaged and had kept silent till then. But this was not the case. They wrote to the manager of the Eastern Bank Ltd. on April 26, 1957, saying that they refused payment since the documents, that is to say the invoice and bill of lading, were not in accordance with the letter of credit.

Nor do I agree that the defendants had agreed to a change of brand by reason of their letter dated March 4, 1957, exhibit 25. This change (although the first defendants use the word “include” which is vague in this context) can only be taken to mean a substitution of the words “Dalmation Portland

Cement B.S.S./12/1947” by the words “Standard Portland Dalmation Cement”. If the plaintiffs were satisfied that the change on March 4 in the terms of the letter of credit excused them from supplying “Two Lions” brand they would not have displayed such anxiety to get the defendants to agree in writing to a change in brand on April 14, 1957.

I hold that there was a failure by the plaintiffs to tender to the defendants cement according to the agreed description and that as this was a sale by description the first defendants were entitled to refuse to accept. The suit against them is dismissed with costs.

I now turn to the claim against the insurance company, who refuse to pay under the policy saying that since the first defendants had refused to accept the cement it never became their property and that it always remained the cement of the plaintiffs with whom they had no agreement. They contend that as the first defendants had disclaimed any interest in the policy they themselves could not have claimed and, in consequence, their assignment of the policy to the plaintiffs, which was done admittedly after the loss, was of no effect. They also plead that they did not receive notice of the loss under the policy. Lastly they plead that the first defendants, Messrs. Bashanfer, did not “clear and take delivery” of the goods in question.

The policy is between the New India Assurance Co. on the one part and "The Eastern Bank Ltd. a/c Messrs. Salem and Mohamed Bashanfer Aden" on the other. It is in respect of 200 tons of cement to be carried in the "s.s. Abbazia" and no brand names are mentioned. It bears endorsements by the Eastern Bank Ltd., and then by Messrs. Bashanfer, the first defendants, who endorsed it to the second plaintiffs in August, 1957, on being paid the cost of the premium.

The law to be applied is that set out in the English Marine Insurance Act, 1906. It is true that this Act, not being one of general application, has never been in force in this Colony and it was not until 1958, (and after the events in this case), that the Aden Maritime Insurance Ordinance (which is almost identical with the English Act) was enacted. But s. 41 of the Interpretation and General Clauses Ordinance provides that in cases such as this we are to be guided by the English common law. The Marine Insurance Act, 1906, states in its preamble that it is an "Act to codify the Law relating to Marine Insurance". It sets out what was the common law in England and thus the Act, subject to any local customs or usages, has force here.

The relevant sections of the Marine Insurance Act, 1906, are as follows:

Section 5 (1). Subject to the provisions of this act every person has an insurable interest who is interested in a marine adventure.

Section 6 (1). The assured must be interested in the subject-matter insured at the time of the loss though he need not be interested when the insurance is. effected.

(2) Where the assured has no interest at the time of the loss, he cannot acquire interest by any act or election after he is aware of the loss. Section 7 (1). A defeasible interest is insurable, as also is a contingent interest

(2) In particular, where the buyer of goods has insured them, he has an insurable interest, notwithstanding that he might, at his election, have rejected the goods or have treated them as at the seller's risk, by reason of the latter's delay in making delivery or otherwise.

Section 51. Where the assured has parted with or lost his interest in the subject-matter insured, and has not, before or at the time of so doing, expressly or impliedly agreed to assign the policy, any subsequent assignment of the policy is inoperative: Provided that nothing in this section affects the assignment of the policy after loss.

These sections make it clear that unless the buyer in this case had an insurable interest in the goods at the time of the loss he had nothing to assign (since it cannot be disputed that he had not prior thereto agreed to assign the policy) and that the policy became inoperative on the cessation of his insurable interest. But for s. 7 (2) it is doubtful whether the buyer ever had an insurable interest. Under the provision of the Sale of Goods Ordinance where there is a contract for the sale of unascertained goods, as here, and goods of that description are unconditionally appropriated to the contract either by the seller with the assent of the buyer or by the buyer with the assent of the seller, the property in the goods thereupon passes to the buyer. Here no goods of the description contracted for were ever appropriated to the contract, and the goods which were in fact appropriated were certainly not appropriated with any assent on the part of the buyer. The only object of s. 7 (2) is to provide for the case where the goods are not of the description contracted for but the buyer has not yet rejected. When, however, the buyer has rejected, there is no place for the hypothesis that he might have rejected. The fact has arisen. Here, on rejection, the buyer ceased to have any interest in the cement, and there was nothing to assign. Nor is this affected by the proviso to s. 51 which permits assignment after loss. This merely allows an assured to assign the benefit of the policy after the loss if he had an insurable interest at the time of loss.

I think that this view is confirmed by the decision in North of England Oil Cake Company v. Archangel Insurance Co. (1) (1875), 10 Q.B. 249. In that case a cargo of linseed was insured with the defendant company from Constantinople to London, including the risk of lighterage. Whilst the vessel was on her voyage the original assured sold the cargo to the plaintiffs, the terms of sale being payment in fourteen days from being ready for delivery. The cargo was landed in London in public lighters employed by the plaintiffs, one of which sank. After the loss the original assured, Vagliano Brothers, assigned the policy to the plaintiffs, and the latter thereupon sought to recover the loss from the defendants. It was held that the plaintiffs could not recover. The policy was not expressly agreed to be assigned to plaintiffs by the sold-note; and no such intention could be inferred from the terms of the note, in as much as it was necessary that Vagliano Brothers should keep the policy for their own protection until right delivery of the cargo. When the seed was put on board the lighter employed by plaintiffs, the seed was delivered to plaintiffs, and Vagliano Brothers' interest ceased and the policy lapsed; and the subsequent assignment by Vagliano Brothers to plaintiffs was, therefore, of no avail under 31 and 32 Vict. c. 86, s. 1.

Further confirmation is provided by a passage in Chalmers "Marine Insurance Act" (5th Edn.) at p. 15. Here the learned author, who was also the draftsman of the Act, says

"Goods which are inferior to sample are shipped and then partially sea damaged on the voyage: If A. rejects the goods, presumably he could not claim on the policy, but could he assign the policy to the seller and then reject the goods? Presumably not, but various complications may be suggested which still await decision."

Here it will be seen that the author is doubting whether in such a case an assignment would confer any rights if made before rejection. It is not suggested that there is much doubt if the rejection comes first.

It has been suggested on behalf of the plaintiffs that there is an "implied" assignment or an "equitable" assignment of the policy which arises from the nature of the transaction and is valid. It is urged that since it was agreed that the price was to be paid and delivery made through a bank under a letter of credit and against documents, there is an implication that the policy is taken out for the benefit of both buyer and seller, either of whom can benefit from it at choice.

Cockburn CJ: in his judgment in North of England Oil Cake Company v. Archangel Insurance Co. (1) says:

“We are agreed on one point, which entitles the defendants to judgment, viz. that, the policy not having been assigned until after the interest of the assignors had ceased, an effective assignment was impossible. If there had been a stipulation in the contract of sale that the policy should be assigned for the benefit of the plaintiffs, the vendees, it might have been otherwise; but not only is there no express stipulation to that effect, but the implication from the nature of the contract is the other way. This is not like the common case of the sale of a floating cargo, where the seller parts with and the buyer takes at once the property, and all risks. In such a case, the policy, according to the established practice, passes as part of the shipping documents, and on assignment the vendee can sue upon it in case of loss. And there is no hardship in this on the insurers, because they insured the safety of the cargo to the end of the voyage, and it is immaterial to them in whom the interest vests at the time of the loss; and there is great convenience in the practice, as it obviates the necessity of the vendee getting a fresh policy and facilitates the sale of cargoes at sea.”

I do not think this passage is appropriate. I find no proof that by custom or otherwise in contracts of this description there is an implication that the seller, who has not insured the goods, is deemed to be a party to the policy from the outset. It does not help that it is said “the policy, according to the established practice, passes as part of the shipping documents” since the passage continues “and on assignment the vendee (in this case it would be the vendor) can sue upon it in case of loss.”

What impedes the plaintiffs here is that a valid assignment has not been possible.

The defence of the insurance company is not one which is ordinarily taken in this court. The damage arose within the broad terms of the policy and, although the goods may have remained upon the wharf a few days longer than if there had been no argument as to who should take delivery, this is one of the risks which is foreseen and paid for. Nevertheless it succeeds; and the claim against the second defendants, the insurance company, must be dismissed with costs together with the claim against the first defendants.

Action dismissed.

For the plaintiffs:

PK Sanghani

PK Sanghani, Aden

For the first defendants:

A Bhatt

A Bhatt, Aden

For the second defendants:

GA Taraporwalla

GA Taraporwalla, Aden

Kenindia Assurance Co Ltd v Otiende

[1990–1994] 1 EA 200 (CAK)

Division: Court of Appeal of Kenya at Nairobi

Date of judgment: 17 May 1990

Case Number: 103/89

Before: Hancox CJ, Masime and Kwach JJA

Sourced by: LawAfrica

[1] Insurance – Motor accident causing severe injuries and paraplegia – Third party risks – Whether insurance company liable directly to plaintiff without judgment being obtained against negligent party insured – Concurrent civil suit against insured and employee – Whether policy required to cover liability for injuries of respondent if also an employee – Section 5(b)(i) and 10(1) – Insurance (Motor Vehicles Third Party Risk) Act (Chapter 405) – Order XVI, rule 6 – Civil Procedure Rules.

Editor's Summary

On 29 April 1983, the respondent was severely injured when a matatu in which he was being carried was involved in an accident and overturned. The evidence showed that the matatu was driven and owned by the first and second defendants in a separate suit brought in 1983 by the respondent against them for negligence and vicarious liability respectively. That suit had been dismissed under the three year rule on 14 July 1989. It was common ground in the instant suit that judgment had not been obtained against the owner or the driver of the matatu, being the persons insured under a policy with the appellant. The trial Judge held that a compromise agreement whereby the appellant as insurers had agreed to settle the disputed claim directly with the respondent in respect of their insured's liability, was enforceable, and that the appellant was liable in damages directly to the respondent. However, the point that no judgment had been obtained against the persons insured, was not raised in the High Court, either on the pleadings or in the evidence, neither was it raised in the memorandum of appeal. It was raised for the first time in a letter dated 19 March 1990 from the appellants' advocates to the respondent's advocates, and was taken on a preliminary point purportedly as a matter going to the jurisdiction of the High Court when the appeal was heard.

The evidence also disclosed that at the time of the accident the respondent was in fact employed by the insured as an assistant conductor in the vehicle.

On the preliminary issue as to jurisdiction it was submitted on behalf of the respondent that the appellant had admitted the jurisdiction of the High Court and that it had in fact induced the Court to hear the case on agreed issues that they had advanced, and that on the authority of Oscroft v Benabo [1967] 2 All ER 548 they could not now raise the point on appeal for the first time.

Held – The normal rule that a party could not raise for the first time on appeal a point they had failed to raise in the High Court did not, and could not, apply when the issue sought to be raised de novo on appeal went to jurisdiction.

The requirement in section 10(1) of the Insurance (Motor Vehicle Third Party Risks) Act that judgment is obtained against the insured before insurer becomes liable under the Act is an essential pre-condition of liability under the Act. Without it the Court has no jurisdiction to order the insurer to pay damages for injuries to the respondent, so that the appellant company was not estopped from raising the issue as a preliminary point on appeal.

In any event it was doubtful whether the liability was one which was required to be covered by section 5(b) of the Act, in as much as the appellant was said to have been an employee of the insured at the material time and the bodily injury sustained by him arose out of and in the course of his employment, and was thus excluded by the first proviso to section 5.

As the appellant had by its conduct in failing to take the preliminary issue in the High Court, and indeed until a later stage in the preparations for the appeal, it had to that extent misled the respondent into thinking that the point would not be taken and thus caused him not to pursue the concurrent action with any diligence. It would accordingly be ordered to pay two thirds of the respondent’s costs in both courts (dictum of Law VP in Nakuru Oils Mills v Lakhani [1976] KLR 33 at 39 considered).

Appeal allowed.

Cases referred to in judgment

(“A” means adopted; “AL” means allowed; “AP” means applied; “APP” means approved; “C” means considered; “D” means distinguished; “DA” means disapproved; “DT” means doubted; “E” means explained; “F” means followed; “O” means overruled)

Kenya Commercial Bank Limited v James Osebe [1982] 1 KAR 48

Nakuru Oil Mills v Lakhani [1976] KLR 33 – C

Judgment

Hancox CJ: We have listened to both advocates and the authorities produced. The main body of section 10(1) of the Insurance (Motor Vehicle Third Party Risks) Act (Chapter 405) is in our opinion clear. It says:

“If, after a policy of insurance has been affected, judgment in respect of any such liability as is required to be covered by a policy under paragraph (b) of section 5 (being a liability covered by the terms of the policy) is obtained against any person insured by the policy, then, notwithstanding that the insurer may be entitled to avoid or cancel, or may have avoided or cancelled, the policy, the insurer shall, subject to the provisions of this section, pay to the persons entitled to the benefit of the judgment any sum payable thereunder in respect of the liability, including any amount payable in respect of costs and any sum payable in respect of interest on that sum by virtue of any enactment relating to interest on judgments.”

It is common ground, and is indeed apparent from this record, that no judgment against the insured, that is to say Titus Otiende Midrah who is, or rather was, the second defendant in High Court civil case 4362 of 1988, has ever been obtained. We do not for the moment need to decide the issue as to whether the liability was one required to be covered by a policy (the point being that contrary to section 5(b)(i) of the Act the unfortunate plaintiff/respondent was an employee at the relevant time) but we do note that the jurisdiction point was never taken in the High Court before Shields J. The tenor of his judgment is obviously that there was at least moral liability in the appellant and that that led to legal liability. We say unhesitatingly that that was a wrong approach. Accordingly, on the plain wording of the subsection, an essential pre-condition of liability did not exist, and as it is axiomatic that a third party cannot sue on a contract if he is not a party to it (as the respondent was not), then in the absence of any statutory exception, he cannot sue on that contract.

In this case the contract of insurance was between Titus and Kenindia. Therefore the plaintiff in this case was out of court ab initio. We are satisfied that this is a point of jurisdiction. True, as Mr Wamalwa, in a valiant attempt to save the situation, pointed out to us, the appellant's admission of jurisdiction in their defence and their invitation to the judge to decide the agreed issues, and this was directly made by Mr K Mwaura at 86 of the record, was in some senses an agreement that the case was for trial by the judge. But neither that admission nor the invitation can confer on the Court jurisdiction when none exists.

Even though a point is not taken in the Court below or in the main memorandum of appeal (though Mr Shah said it was taken in the "supplementary" dated 19 March 1990), this Court is bound to decide it (see Kenya Commercial Bank Limited v James Osebe [1983] 1 KAR 48) but that principle does not bind us on the matter of costs. Not only did the appellant in this case lull the rather unsuspecting advocates for the plaintiff respondent into not realising that there was such a point, but they actively encouraged their false sense of security and we have in mind, in particular, the statement of objection of page 28 of the record. Even though this was made in response to the summary judgment application, it had the effect, we are sure, of misleading the legal advisers to the plaintiff/respondent.

We have called for the file in High Court civil case 4362 of 1983 and we note with concern that that has now been dismissed under the three-year rule, but after Messrs K Mwaura has withdrawn from that case. In these circumstances is the unfortunate plaintiff, who is a paraplegic as a result of the accident, to have no remedy or recompense at all? We trust not. It may well be that as the first plaintiff in that case he took no steps because of this then ongoing appeal.

Returning to the question of costs, Mr AB Shah did concede his clients should pay some of the other side's costs of the High Court suit, but not of the appeal.

After considering the judgment of the Court's predecessor and in particular that of Law VP in Nakuru Oil Mills v Kakhani [1976] KLR 33 at 39, we think the appellants should pay two-thirds of the respondent's costs both in the High Court and in this appeal.

Being therefore of the view that the preliminary objection must succeed we allow the appeal but make the order regarding costs above indicated.

As regards the High Court action we hope that an application to extend time in the High Court (which may well have expired by now) should be sympathetically treated.

Orders accordingly.

For the appellant:

AB Shah and K Mwaura

For the respondent:

FN Wamalwa and Chakava

Kayanja v New India Assurance Company Ltd

[1968] 1 EA 295 (CAK)

Division: Court of Appeal at Kampala

Date of judgment: 17 April 1968

Case Number: 59/1967 (63/68)

Before: Sir Charles Newbold P, Duffus and Spry JJA

Sourced by: LawAfrica

Appeal from: High Court of Uganda – Mead, J

[1] Contract – Third party – Rights of – Whether stranger to a contract can sue on it – Effect of statute – Compulsory third party motor insurance.

[2] Insurance – Motor Insurance – "Authorised driver" – Whether authorised driver can sue insurance company direct – Traffic Act, s. 104 (U.).

[3] Insurance – Motor Insurance – Third party risks – Compulsory third party insurance – Whether person injured by "authorised driver" can enforce judgment against insurance company – Traffic Act, s. 104 (U.).

Editor's Summary

The appellant was injured by a motor car owned by H but driven at the time by B. He sued B and got judgment against him for damages. H had a policy of insurance with the respondent insurance company, under the terms of which the respondent was to indemnify H against sums which H would become liable to pay to third parties for injuries arising from the use of the motor car. B was not named in the policy; but by its terms the respondent had agreed also to indemnify (subject to certain conditions) "any authorised driver". B was an authorised driver within the policy. The judgment against B not having been satisfied, the appellant brought suit against the respondent under s. 104 of the Traffic Act, praying for a declaration that, under that section, the respondent was bound to satisfy the judgment. The trial judge dismissed the suit on the ground that B was not "a person insured by the policy" within s. 104 (1). The appellant appealed.

Held –

(i) a stranger to a contract cannot sue upon the contract unless given a statutory right to do so (Halal Shipping Company v. Securities Bremmer (2) followed);

(ii) (obiter) where, as here, the liability covered by an insurance is one which is required by the Traffic Act to be covered then an "authorised driver" has a statutory right to sue the insurance company himself to enforce an indemnity given to him by the policy (Union Assurance Society Limited v. Ainscow (3) distinguished);

(iii) an "authorised driver" to whom an indemnity is given under the terms of a policy effected by another person is "a person insured by the policy" within the meaning of s. 104 (1) of the Traffic Act (Vandepitte v. Preferred Accident Insurance Corporation (4) distinguished, principle in New Great Insurance Company of India Limited v. Cross (1) applied);

(iv) therefore the insurance company in such circumstances is under a duty to satisfy a judgment obtained against such an "authorised driver".

Appeal allowed. Declaration granted. Costs to the appellant.

Cases referred to in judgment:

(1) New Great Insurance Company of India Ltd. v. Cross, [1966] E.A. 90.

(2) Halal Shipping Company v. Securities Bremmer, [1965] E.A. 690.

(3) Union Assurance Society Ltd. v. Ainscow, [1961] E.A. 257.

(4) Vandepitte v. Preferred Accident Insurance Corporation, [1932] All E.R. Rep. 527.

(5) Nayar v. Sterling Insurance Company, [1966] E.A. 144.

(6) Beswick v. Beswick, [1967] 2 All E.R. 1197.

April 17, 1968. The following considered judgments were read.

Judgment

Sir Charles Newbold P: The appellant was injured by a motor car owned by a Mr. Hodges but driven by a Mr. Bikaju with the authority of Mr. Hodges. The appellant obtained judgment for the sum of Shs. 87,000/- and costs against Mr. Bikaju in respect of his injuries. At the time of the accident Mr. Hodges was insured with the respondent insurance company. Under the terms of the policy the insurance company were to indemnify Mr. Hodges against sums he would be liable to pay in respect of injuries to third parties (with certain irrelevant exceptions) arising from the use of his motor car. The policy contained a similar indemnity to any authorised driver, subject to certain conditions which have been satisfied. The judgment obtained by the appellant against Mr. Bikaju was not satisfied so the appellant sued the insurance company praying for a declaration “that James Bikaju was an authorised driver at the time of the accident and the defendant (that is the insurance company) is bound to satisfy the judgment and decree in High Court Civil Suit No. 873 of 1964 obtained by (the appellant) against James Bikaju”.

At the trial three issues were framed. The first was whether Mr. Bikaju was an authorised driver within the meaning of the insurance policy issued to Mr. Hodges. The trial judge found that he was, and there has been no appeal against that finding. The second was whether the judgment had been obtained against any person insured by the policy within the meaning of s. 104 (1) of the Traffic Act (Cap. 342). The trial judge held that no such judgment had been obtained, and it is this decision which is the subject of this appeal. The third was whether the appellant had given a sufficient and valid notice as required by s. 104 (2) (a) of the Traffic Act. The trial judge found that such a notice had been given, and there has been no appeal against that finding.

Subject to one matter to which I shall refer later, the main question on this appeal is whether the judgment obtained by the appellant against Mr. Bikaju, who was driving the car with Mr. Hodges' authority, was a judgment against a person insured by the policy issued by the insurance company to Mr. Hodges within the meaning of s. 104 (1) of the Traffic Act. If it was, then the appellant is entitled to obtain a declaration and the appeal succeeds.

Section 98 of the Traffic Act provides that it is unlawful for any person to use or permit another person to use a motor vehicle on the road unless there is in force in relation to the user by that person or that other person such a policy of insurance in respect of third party risks as is required by the Act. That section, together with the other sections to which I shall refer, come within a Part of the Act dealing with "Compulsory insurance of motor vehicles"; and the side-note to that section reads "Motor vehicles to be insured against third party risks". Section 99 provides, subject to certain irrelevant exceptions, that in order to comply with s. 98 a policy of insurance must insure such person, persons or classes of persons as may be specified in the policy in respect of any liability which may be incurred by him or them in respect of the death of or bodily injury to any person arising out of the use of the motor vehicle on a road. It is to be noted that the section uses the word "insures" in relation to "classes of persons". Classes of persons cannot be a contracting party, so the word "insures" is used in relation to persons covered by an insurance policy to which they are not a contracting party. Section 101 provides that a certificate of insurance shall be issued by the insurer to the person by whom the policy of insurance is effected and s. 102 provides that any condition in the policy of insurance avoiding liability in respect of such liabilities as are required to be covered by a policy under s. 99 shall be of no effect. Section 103 requires the driver of the motor vehicle in certain circumstances to produce "his certificate of insurance". It is clear that phrase includes the certificate of insurance of a car which covers an authorised driver even though the driver may not himself have entered into the contract of insurance.

Section 104 then provides that where judgment in respect of a liability required to be covered by a policy under s. 99 and in fact so covered by the policy "is obtained against any person insured by the policy" then the insurer shall, subject to conditions which have been satisfied in this appeal, pay to the persons entitled to the benefit of the judgment the amount thereof, together with the costs and interest referred to in that section.

The main issue in this appeal is whether the judgment obtained against Mr. Bikaju is a judgment "obtained against any person insured by the policy" issued to Mr. Hodges. In effect this also poses the question whether s. 104 has given to a stranger to a contract the right to sue a contracting party in order to enforce a provision of the contract which is in his favour. I said in New Great Insurance Company of India Ltd. v. Cross, [1966] E.A. 90, when dealing with the provisions of a Kenya Act whose provisions are almost identical with those of the Uganda law now under consideration (ibid. at p. 95):

"The obvious intention of the Act, as ascertained both from the preamble and from its provisions, is to enable third parties who have received injury from the use of a motor vehicle on the road to recover compensation for the injury even if the person who inflicted it is not in a position to pay any compensation so awarded. It is against that background that each of the provisions of the Act must be interpreted."

I consider that these remarks are equally apposite in this case.

Before dealing with the main issue, I wish to deal with another issue which was raised by Mr. Sebalu for the appellant. It was urged that having regard to the wide definition of consideration in the Indian Contract Act, which applied in Uganda at the relevant time, a stranger to a contract could sue a contracting party and take advantage of the provisions of the contract, irrespective of any statutory right of action given by s. 104. In this case it was submitted that under the contract between Mr. Hodges and the insurance company there was provision whereby the insurance company undertook to indemnify an authorised driver against any sums which the authorised driver was liable to pay arising out of an accident when driving the vehicle the subject of the insurance, and that as the appellant had recovered damages against an authorised driver therefore the appellant could sue the insurance company and take advantage of the provisions of the contract in the appellant's favour. The trial judge rejected this submission and held that, subject to exceptions of which this was not one, only parties to a contract can sue upon it. The same argument was addressed to Chanan Singh, J. in the Kenya case of Nayar v. Sterling Insurance Company, [1966] E.A. 144, and rejected by him. In England the position has recently been considered by the House of Lords in the case of Beswick v. Beswick, [1967] 2 All E.R. 1197, and the principle that only parties to a contract can sue on the contract again confirmed. It is of interest that the judgments in the Beswick case confirmed, as far as England is concerned, the views of Chanan Singh, J., that the party to the contract can either himself sue for the breach (though in such a case the damages to which he would be entitled is the loss suffered by himself and not by anyone else) or in certain circumstances as the trustee for the person for whose benefit the provisions were inserted (in which case the damages might well be the loss suffered by that person or there might be an order for specific performance). As far as East

Africa is concerned, however, I consider that the principle has already been decided by this Court in Halal Shipping Company v. Securities Bremmer, [1965] E.A. 690, an appeal from Aden, where it was clearly stated that a stranger to a contract cannot sue on it. It is true that the definition of consideration in the Aden Contract Act is not the same as in the Indian Contract Act, but the reasons for the decision were put upon wide terms of principle and I see no reason at all to impugn the decision in that case. Unless, therefore, the appellant has been given a statutory right to sue the insurance company I consider that it is not open to him in his own name to do so. This is the effect of the decision in Union Assurance Society Ltd. v. Ainscow, [1961] E.A. 257, in which this court held that an authorised driver could not sue the insurance company directly because a section in the Kenya legislation identical with s. 104 did not, in the circumstances of the case, give to the authorised driver such a right. Those circumstances were that the liability covered by the insurance was not one required to be covered by the Kenya section which is the equivalent of s. 99 (b). In this appeal, however, the liability is one required to be so covered. Mr. Salter submitted that in any event s. 104 (1) did not give a right of action to the authorised driver as Uganda had not adopted the English sub-section, s. 206 (3) of the Road Traffic Act 1960, which gave such a right. I cannot agree. If the authorised driver is a "person insured by the policy" within the meaning of s. 104 (1) then in my view the statutory duty placed on the insurer to "pay to the persons entitled to the benefit of the judgment" the amount of the judgment carries with it a corresponding right on the part of those persons to sue if the duty is not performed. It is to be noted that nowhere in the Ainscow case (supra) is it suggested that if the circumstances of the case had been within the section nevertheless there would have been no right to sue.

I turn now to the question which is the main issue on this appeal. Is an authorised driver to whom an indemnity is given under the terms of a policy effected by another person a person "insured by the policy" within the meaning of s. 104 (1)? In my view he clearly is. The whole object of this legislation requires such a construction. In addition, as I have already pointed out, the word "insures" is used in s. 99 (b) in relation to persons who cannot be contracting parties, and the phrase "certificate of insurance", is used in s. 103 in relation to persons who are not contracting parties. It is urged that to bring within the phrase "insured by the policy" persons who are not contracting parties would be contrary to the decision in Vandepitte v. Preferred Accident Insurance Corporation, [1932] All E.R. Rep. 527. I do not agree. That case was concerned with the construction of a section of an Insurance Act dealing generally with insurance and not, as in this case, with a particular type of insurance. There were other sections of the Act which required that a restricted meaning be attached to the word “insure” in the particular section which was under consideration and, as Lord Wright said when delivering the judgment of the Privy Council (ibid. at p. 533): “that section must be read with the relevant sections of the Act”. As I have already pointed out the reverse is the position here, as other sections of this Part of the Traffic Act require the words “person insured” to include persons other than the policy holder. There is nothing in the Vandepitte case which would require a restricted construction of the words “person insured”; even if there were I do not consider that a restricted construction should be adopted in relation to s. 104 (1).

In my view, therefore, Mr. Bikaju, the authorised driver, was a person insured by the policy and as the appellant has recovered judgment against Mr. Bikaju the insurance company is under a duty, on the facts of this case, to pay to the appellant the amounts mentioned in s. 104 (1). Accordingly, in my opinion, the appellant is entitled to the declaration for which he prays.

For these reasons I would allow the appeal with costs, set aside the judgment and decree of the High Court and substitute therefore a judgment and decree granting the declaration in the terms asked for in the plaint and ordering the insurance company to pay the appellant’s costs of the suit. As the other members of the Court agree it is so ordered.

Duffus J A: I have had the advantage of reading the draft judgment of my Lord the President. The facts have been fully stated by the President and the main question is whether a person authorised to drive a motor car by the owner and who is indemnified by the insurance policy effected by the owner is a person insured within the meaning of s. 104 (1) of the Traffic Act (Cap. 342).

The policy of insurance in question is in evidence as Exh. A and the material portion of the policy is set out in cl. 2, s. II, Liability to Third Parties, which reads, inter alia:

“2. In terms of and subject to the limitations of and for the purposes of this section the company will indemnify

(a) any authorised driver who is driving the motor vehicle provided that such authorised driver

(i) shall as though he were the insured observe fulfil and be subject to the terms of this policy insofar as they can apply."

The appellant obtained a judgment for negligence against a Mr. Bikaju for damages for his negligent driving of the motor car. The judge found Mr. Bikaju to be an authorised driver within the meaning of cl. 2 but he found that he was not a person insured by the policy within the meaning of s. 104. The learned judge held that these words only applied to the person effecting the insurance policy and did not apply to an "authorised driver".

Part IX of the Traffic Act (Cap. 342) deals with the compulsory insurance of motor vehicles. The main purpose of this legislation is to provide protection for third parties injured by the careless user of a motor vehicle. Section 98 provides that it shall be unlawful for any person to use or cause or permit any other person to use a motor vehicle on the road unless there is in force an insurance policy as required by the Act to cover risks to third parties.

Then s. 99 (b) provides that the policy must be a policy, which inter alia:

"(b) insures such person, persons, or classes of persons as may be specified in the policy in respect of any liability which may be incurred by him or them in respect of the death of or bodily injury to any person caused by or arising out of the use of the vehicle on a road:"

I am clearly of the view that Mr. Bikaju, as an authorised driver under the policy was a person insured within the meaning of s. 99 (b).

To succeed against an insurance company under s. 104 a plaintiff has to prove, inter alia:

(a) that a policy of an insurance has been effected in respect of a liability required to be covered by s. 99 (b) (supra),

(b) that he is a person entitled to the benefit of a judgment obtained in respect of such a liability,

(c) that the judgment was obtained against a person insured by such policy.

Mr. Bikaju was a person covered within the meaning of s. 99 (b), and one of the class of persons specifically insured by cl. 2 of s. II of the policy. This being so, it seems to me clear that he must be a person insured by this policy and that accordingly the appellant is entitled to enforce the judgment obtained against Mr. Bikaju as against the respondent insurance company under provisions of s. 104.

I agree therefore with my Lord the President that this appeal be allowed in accordance with the order set out in his judgment.

Spry JA: I also agree.

Appeal allowed with costs. Declaration granted as prayed.

For the appellant:

LKM Sebalu

Sebalu & Co, Kampala

For the respondent:

Clive Salter, QC and BD Dholakia

Parekhji & Co, Kampala

Kinyanjui v South India Insurance Co Ltd

[1969] 1 EA 160 (HCK)

Division: High Court of Kenya at Nairobi

Date of judgment: 5 February 1968

Case Number: 156/1967 (18/69)

Before: Trevelyan J

Sourced by: LawAfrica

[1] Insurance – Motor Insurance – Whether vehicle "owned and operated" by insured.

[2] Insurance – Motor Insurance – Lapse of policy on transfer of ownership.

[3] Insurance – Motor insurance – Lapse of policy – Effect of Insurance (Motor Vehicles Third Party Risks) Act (Cap. 405) (K.).

[4] Insurance – Motor insurance – Authorised driver – Whether authorised by former owner – Insurance (Motor Vehicles Third Party Risks) Act, ss. 4, 5, 8, 10 and 16 (K.).

Editor's Summary

The plaintiff obtained judgment under the Fatal Accidents Act (Cap. 9) against the driver and the alleged owner of an omnibus. Upon claim being made upon it, the defendant insurance company disclaimed liability on the ground that the only policy of insurance had been taken out by the alleged owner whereas the bus had been transferred to and was being operated by a limited company. It contended further that the bus was not being used for the alleged owner's business, nor was it being driven either by him or by his authorised driver, nor did the alleged owner have any insurable interest in it.

Held –

(i) the limited company owned and operated the bus and employed its driver at the time of the accident;

(ii) on the transfer of the bus to the Company the policy lapsed;

(iii) the driver was not driving the bus with the permission of its former owner (Peter's case (1) adopted);

(iv) as there was no policy of insurance in force at the time of the accident, section 10 of the Insurance (Motor Vehicles Third Party Risks) Act (Cap. 405) can give no rights against the defendant (Cross's case (2) distinguished).

Case dismissed.

Cases referred to in judgment:

(1) Peters v. General Accident and Life Assurance Co., [1937] 4 All E.R. 628 and [1938] 2 All E.R. 267.

(2) New Great Insurance Co. of India v. Cross and Another, [1966] E.A. 90.

Judgment

Trevelyan J: On February 19, 1962, an omnibus, registration number KGR 238 (which I shall call "the vehicle") was reversed by its driver Kirobi Nganga (whom I shall refer to as "the driver") and it came into contact with a man called John Mukono who died as a result of it doing so. On February 7, 1964, Karugi Kinyanjui (who was appointed under s. 6 of the Fatal Accidents Act (Cap. 9)) filed a suit in respect of the accident and death against two men, Boniface B. Kihanya (whom I shall call Mr. Kihanya) and the driver, said in the plaint to be the owner and driver of the vehicle respectively. These descriptions were not admitted as such, but there were admissions that Mr. Kihanya was "a bus owner and operator". On November 30, 1964, a consent judgment for Shs. 130,000/- interest and costs was entered against the two defendants jointly and severally in favour of the plaintiff and it was embodied in a decree on April 5, 1965.

The foregoing assertion of ownership was not, however, the one which was originally made for the letter before action dated August 31, 1962, sent to an insurance company, the defendant in this case (which company I shall be calling "the defendant") referred to "Leyland Bus KGR 238 which is owned by your insured Kiambu Bus and Transport Company Ltd." (I shall designate this concern "the company"). On receipt of this letter the defendant promptly disclaimed liability on the ground that it recognised no one but Mr. Kihanya as its insured. It said that it assumed that the vehicle had been sold to the company so that there was, to say the least, a breach of contract releasing it from any payment that it might otherwise have had to make. The advocates, quite undaunted, replied that they would sue Mr. Kihanya because he owned the vehicle. But this of itself could not have given rise to legal liability. Then on July 15, 1963, they wrote to Mr. Kihanya holding him liable and informing him that at the time concerned the vehicle "was registered jointly in your name and that of United Dominions Corporation Ltd." and "was at the time driven by your driver Kirobi Nganga". (I shall call this corporation "the hire-purchase company"). The defendant remained aloof. It pointed out that "the third party claims arising out of the accident are not covered by the policy" and said that it believed that the vehicle "may have been insured in the name of your client" but "at the material time it was definitely not used for his business. Nor did he have insurable interest in the vehicle. Kiambu Bus and Transport Co., Ltd., was the owner of the vehicle to all intents and purposes at the material time". It also claimed that the vehicle was not, at the relevant time, being driven by Mr. Kihanya or his authorised driver.

Faced with this uncompromising defensive stand the plaintiff resolved to invoke the provisions of the Insurance (Motor Vehicles Third Party Risks) Act (Cap. 405) (which I shall be referring to as "the Act") and the instant proceedings are the result. The defendant's attitude surprises me. It is as open to insurance companies as to anyone else to disclaim liability on any available legal grounds but some such companies are not, in proper cases, over-sensitive about it. In the circumstances of the present case there are three reasons why a disclaimer was not to be expected – (1) the premium was paid; (2) assuming that the vehicle was not being run for Mr. Kihanya's business, the facts made it very clear that it was doing the same sort of work for a company which had taken it over, a company of which the insured was both a shareholder and secretary; and (3) it cannot be said that the defendant may not have misled its insured. On the back of the proposal form liability to third parties is said to cover "The Insured or any person driving the insured Vehicle on the Insured's order or with his permission", without a word about anyone's business or employment. Yet the policy was restricted to "(a) The Insured (b) Any person provided he is in the Insured's employ and is driving on his order or with his permission" and only if the vehicle were being used in connection with the insured's business.

It was necessary to sift through a mass of documentary and oral evidence. Only Mr. Kihanya and the driver on the one hand and members of the defendant's staff on the other could be said to have had any reason to be partisan if they so wished. And what witnesses told us in this Court must, of necessity, be weighed with their prior acts, utterances and writings. I think that the central question for answering is who employed the driver at the time of the accident. Mr. Kihanya (who claims that he was the vehicle's owner and the driver's employer and who told us that "At the time of the accident concerned Kirobi Nganga was engaged as the driver of the bus") is the main contender on the one side while Mr. Ngoima (whom I shall refer to as such and who at one time or another was Chairman and Managing director of the company) and who claims that the vehicle belonged to the company at the relevant time and that it and not Mr. Kihanya employed the driver is the main contender on the other side.

In the early part of 1961 Kiambu owners and operators of omnibuses decided to get together to form a company for their common good, advancement and protection. Mr. Kihanya told us "At this meeting a decision was taken that bus operators would combine . . . five people were appointed to take steps to form the company . . .". The vehicles were to become the company's property and the company would run them. The company was formed. Various vehicles were taken over and the company operated them as part of its fleet. The company's founders may not, perhaps, have had enough experience for the work in hand, but one thing was appreciated or learned, that vehicles on hire from hire purchase companies pose problems. Mr. Kihanya says that such vehicles were not to be brought into the company until they were free from hire purchase adding that he and his partners “agreed to transfer the ownership in the bus to the company after paying the hire purchase”. But none of these gentlemen was called to confirm this assertion, an assertion which the documentary evidence signally fails to support. On April 17, 1961, a few days after the company was incorporated, Mr. Ngoima wrote a letter to the hire purchase company concerning eight vehicles of which the vehicle was one that “These vehicles were previously owned individually or with few members but the owners with the rest of the vehicles which had completed paying Hire Purchase numbering more than twelve decided and agreed to have all these vehicles amalgamated under the above name and as per certificate No. 4972 from the Registrar of Companies of 12.4.61”. The letter went on to say that “We very well know that some vehicles are due for the hire purchase and, we very humbly ask you to excuse for the non-payment for a short time when we promise to pay within a short time . . .”. This letter was written in the name of the company by Mr. Ngoima as its chairman. At that time the accident was a long way off. Seven days later Mr. Kihanya wrote to the Transport Licensing Board that “We the undersigned have agreed to transfer or surrender our T.L.B.’s to Kiambu Bus and Transport Co. Ltd., and we confirm that we will not apply for the new T.L.B.’s within a period of five years”. The fifth vehicle on the list is the vehicle. Against it is Mr. Kihanya’s signature as the person authorising the letter in relation to it. Subscribed is a confirmation that the “buses have been accepted”.

I think that Mr. Ngoima signed that confirmation. Certainly did Mr. Kihanya do so as the company’s secretary. I have no doubt that the company had taken the vehicle over, was rightly treating it as its own and was running it as part of the fleet which it owned from the time when it was formed, paying off the instalments due to the hire purchase company on it. In relation to Mr. Kihanya’s letter to which I have just referred, why did he otherwise “agree to transfer or surrender” his licence to the company? And, as secretary, did he not show that the company had “accepted” it and the other vehicles to which it refers? Why the five years period was put in does not matter to us. What does matter is Mr. Kihanya's knowledge, conduct and writings on the day of that letter written almost seven years ago vis-a-vis the contrary contentions put forward in this Court.

On September 1, 1961, the hire purchase company wrote to the company about the arrears of hiring on the vehicle. Mr. Kihanya endorsed it in red "Cheque no – issued today 14.9.61" and he signed it. There is also a pencilled note "H.C. 01037 of 14.9.61" referring to the cheque. And there are other letters from the hire purchase company to the company – not to Mr. Kihanya – about arrears of charges on the vehicle. Whoever gave the information to the hire purchase company, Mr. Kihanya could not have been unaware of the position. The letter of February 8, 1963, concerning the balance due on the hiring and the option fee was written by the hire purchase company to the company and copied to Githunguri Bus Service and to someone else. To this letter, Mr. Kihanya as the company's secretary replied "As desired by you we are confirming that we are sending our cheque for the settlement". "We" not "I".

The suggestion that the vehicle was operated for the benefit of Mr. Kihanya and his partners up to and perhaps beyond the time of the accident is not acceptable. It is as unacceptable as Mr. Kihanya's theme that the company was helping him. Nothing has emerged to show why it should have done so. Nor has it been shown that it in fact did so. By March 1961, the vehicle was shown in the company's cash book. There was, it will be recalled, evidence that even before the company was formed, its founders were running the business in anticipation of its incorporation. The "List of Buses now with the company" signed by Mr. Kihanya on April 22, 1961, includes the vehicle. As early as May 12, 1961, tickets for its passengers' fares were being issued by the company. The bill of July 8, 1961, debits the company with the amount thereof. And by the letter dated September 7, 1961, written but not signed by Mr. Kihanya the company is asking Mr. Kinuthia for money for using it.

On January 26, 1962, the hire purchase company wrote to the company – not to Mr. Kihanya – asking for the names of the insurers of two vehicles, one being the vehicle, and there is a draft reply in green and blue subscribed by the "Secretary" giving for the vehicle "Policy no. 24909 commencing 31.12.61 to 30.12.62" with the defendant. Whence that number stems we do not know and it is probably wrong. But the dates are right. Mr. Kihanya wrote that letter.

In the minutes of the meeting of April 1, 1962, appears a reference to Shs 5,383/69 having been collected on the vehicle in January and February 1962. "In addition there is a claim for Shs. 1,702/80 which Mr. Joseph Kamau claims to have paid as salaries. According to what the Chairman shows the right salaries would have been Shs. 746/29". That points to the company's liability for such payment. There is also minute numbered 106/62 which is headed "Outstanding Debts" under which the first entry is "Hire Purchase Account" and the further entry "N.B. It was agreed that Mr. Patrick Muchoki stop at once from the management of the company's buses".

There are, indeed, so many notes, letters and cheques showing that the company was operating the vehicle. In exhibit AB dated 21.6.1962 we have "These four vehicles have done very good but only No. 4 above had surrendered the cash to the office . . . The rest did not obey the company's orders . . ." No. 4 is the vehicle. A receiver was appointed for the company. In his Abstract of Receipts and Payments of February 6, 1963, there are entries of a payment to the hire purchase company of Shs. 1,000/00 for "o/a instalments K.G.R. 238 and K.G.Q. 637" and "To D. C. Kiambu o/a Road Licences K.G.R. 238, K.G.Q. 768, K.G.Q. 637 . . . 1392/00". And so on. It might not have been without significance that in the claim form of July 24, 1963, Mr. Kihanya said "Yes" to the question "Was it being used with your knowledge and consent?" but that he did not answer the question "Is he your permanent paid driver?" He did not, however, prepare the form and we do not know why no answer was given so I do not use the point against him.

It is unrealistic to suggest that the vehicle's driver, whoever he at any time might have been, should be Mr. Kihanya's employee when the vehicle was being operated on the company's behalf. The probabilities must be against it. Mr. Kihanya's evidence had a hollow ring about it and is generally unacceptable when tested as the law demands. But the Muster Roll as produced to the court does not contain the driver’s name, and this may therefore be claimed to argue in favour of the plaintiff. The exhibit is not, however, a satisfactory document and it is very likely incomplete. Viewed with the evidence as a whole it does not matter if it is or it is not for the probabilities are against the plaintiff. Moreover, if we have no document showing the driver as in the company’s employment there is none to show that Mr. Kihanya employed him either. It must not be forgotten where the burden of proof lies. And though the driver’s name is not in the Roll, the vehicle is in it, shown as being run for the company or its founders as early as March 1961. Why should Mr. Kihanya have paid its driver? There are, in any case, pointers to the company being the driver’s employer, certainly at the time of the accident – and before it – even apart from the evidence of Mr. Ngoima and the inferences generally to be drawn. There are, for instance, the books showing advances made to the company’s staff, the driver’s name appearing in three of them, exhibits X, Y and AD, the first showing those made in December 1961 and the third showing the same for the month when the accident occurred. And he is described in these books as the driver of the vehicle. I mentioned earlier that Mr. Kihanya said that at the time of the accident the driver was “engaged as the driver of the bus”. It must be that it was the company who so engaged him at all material times. Mr. Kihanya I found, I regret to say, rather glib. I cannot, for instance, accept that an insurance company’s representative wanted to “give me money so that I may settle the case myself . . . Give the money to me not to other people so that I might settle the case myself. They did not tell me how much.”

I also found the driver to be glib. He claims to have been employed not by the company but personally by Mr. Kihanya. The vehicle had its own run. “On that day” the driver told us “I was working for Boniface. He authorised me to drive that bus that day”. Then he said “That morning I was not told about driving the bus”. He also claims, as I have said, to have been employed personally by Mr. Kihanya. But he agrees that the company was already functioning at the time when he was employed. As he says that he was working on the vehicle for more than a year it is at least for comment that the accident occurred a little less than a year after the company was formed. For further mentioning is the following question and answer, namely “(Q.) Karanja had been the conductor on the bus for eight months before the accident? (A.) I cannot deny because he may have acted on that bus before I was engaged." The evidence which he gave about the name on the vehicle is also worth referring to. He can read. He was asked about the name and said that it was "Boniface". No one else says so and the probabilities are against it. But in any event the evidence which he gave about it was vague, contradictory and unsatisfactory. He did not know whether to say that he saw the name or was told what it was. He was an unsatisfactory witness. Mr. Muchoki who worked on the vehicle fails to support Mr. Kihanya and the driver. He says, and I believe it to be so, that the company's name was on the vehicle and that on occasion he paid those who worked on it from fares which he collected. "Sometimes I paid the driver" he told us. He gave the balances to the company.

The facts of the vehicle remaining in the names of Mr. Kihanya and the hire purchase company and the omission of the driver's name from the Muster Roll are the strongest points in favour of the plaintiff but there is so much more that favours the defendant. And I might just add that nowhere in the minutes of the Company is there one word that vehicles were not for taking over until paid for.

It is my view, and I so find, that the company owned and operated the vehicle and employed the driver at the time of the accident. The legal results which flow from this finding depend upon the construction of the Act and a consideration of some legal authorities including New Great Insurance Co. of India v. Cross and Another, [1966] E.A. 90. If I do not oversimplify, the central question for decision in that case was the legal effect of a proviso that a person who otherwise would be an authorised driver under a policy of insurance was not so designated if he happen to be disqualified from driving a motor vehicle.

The Schedule to the policy in question stated:

"Authorised Driver: Any of the following:

The Insured.

Any person driving on the Insured's order or with his permission.

Provided that the person driving . . . is not disqualified . . . from driving the Motor Vehicle."

In the result, and by a majority, the court resolved that the proviso was a condition of the kind rendered inoperative by s. 8 of the Act.

As the policy in the instant case is not in similar terms I will set out parts of it:

"LIABILITY TO THIRD PARTIES

1. The Company will subject to the Limits of Liability indemnify the Insured in the event of accident caused by or arising out of the use of the Motor Vehicle or in connection with the loading or unloading of the Motor Vehicle against all sums including claimant's costs and expenses which the Insured shall become legally liable to pay in respect of

(a) death of or bodily injury to any person

(b) damage to property.

2. In terms of and subject to the limitations of and for the purposes of this Section the Company will indemnify any Authorised Driver who is driving the Motor Vehicle provided that such Authorised Driver (i) shall as though he were the Insured observe fulfil and be subject to the Terms of this Policy insofar as they can apply (ii) is not entitled to indemnity under any other policy.

SCHEDULE

Authorised Driver: Any of the following "(a) The Insured. (b) Any person provided he is in the Insured's employ and is driving on his order or with his permission.

Provided that the person . . ."

It was argued that there was, accordingly, what I will term a twofold indemnity. There might seem to be some confusion or duplication for para. 1 indemnifies the Insured, para. 2 perhaps indicates that the description of the authorised driver does not apply to the Insured and the Schedule covers both the Insured and others within the definition of such driver. But I think that the provisions can be reconciled, for para. 1 shows the extent of the liability whilst para. 2 and the Schedule help to localise the issue by indicating who may (and thus who may not) lawfully drive the vehicle.

One of the questions which must be answered is whether description (b) of the definition of an authorised driver is, or is not, repugnant to s. 8 of the Act. But though I shall not need to set this section out I would set out parts of other sections of the Act. Thus, s. 4 states that:

". . . it shall not be lawful for any person to use, or to cause to permit any other person to use, a motor vehicle on a road unless there is in force in relation to the user of the vehicle by that person or that other person, as the case may be, such a policy of insurance . . . in respect of third party risks as complies with the requirements of this Act."

And s. 5 provides that:

"In order to comply with the requirements of section 4 of this Act, the policy of insurance must be a policy which:

(a) . . . .

(b) insures such person, persons or classes of persons as may be specified in the policy in respect of any liability which may be incurred by him them in respect of the death of, or bodily injury to, any person caused by or arising out of the use of the vehicle on a road."

Those two sections do no more than to provide for the minimum required cover in respect of a policy of insurance in the circumstances envisaged. But when a policy of insurance comes into being, other provisions of the Act need to be considered, e.g., ss. 8 and 16 as to conditions and s. 10 as to the insurer. Subsection (1) of the last-mentioned section provides that:

"If, after a policy has been effected, judgment in respect of any such liability as is required to be covered by a policy under paragraph (b) of section 5 of the Act (being a liability covered by the terms of the policy) is obtained against any person insured by the policy, then notwithstanding that the insurer may be entitled to avoid or cancel, or may have avoided or cancelled, the policy, the insurer shall, subject to the provisions of this section, pay . . .”

I draw attention to the words “any person insured by the policy”. You cannot have an insurer unless you have a contract of insurance under which someone has accepted that status. The subsection recognises this to be so. But it makes such insurer liable notwithstanding that he may have the right to cancel or avoid or that he may have cancelled or avoided the policy. There have been arguments for and against it and the point is none so easy to resolve, but I do not think that you can pray the subsection in aid if there is no policy of insurance in force because the one which existed lapsed before the event relied on occurred. You cannot, it seems to me avoid a contract save it be in existence and there is no need to, and I doubt you can, cancel a policy if it is not there for cancellation. I believe that when the vehicle was transferred to the company, the policy lapsed so that there was nothing to avoid or to cancel. As Goddard, J., (as he then was) put it in Peters v. General Accident and Life Assurance Co., [1937] 4 All E.R. 628 at p. 634:

“As to the question of what happened to the policy, I think the policy lapsed. I think that there was thereafter no policy in existence upon this car because the only person who was insured was Mr. Coomber and Mr. Coomber had parted with the car . . . in Rogerson’s case . . . The House of Lords held that the subject of insurance was a motor car, and that if the motor car was sold, the insurance lapsed . . . Can it be said here, by any stretch of imagination, that Mr. Pope was driving by the order or with the permission of Mr. Coomber? It seems to me that it is quite impossible to say that . . . I am bound to hold that, when Mr. Coomber parted with his car, his insurance qua that car lapsed, and that there was no insurance. Therefore I decide, first of all, that there was no insurance at all in force on the car at the time.”

The case went to appeal and is reported in [1938] 2 All E.R. 267 et seq. At p. 269 of the report Greene, M.R., thought it a “perfectly clear case” and that:

“When Pope was using that car he was not using it by the permission of Coomber. It is an entire misuse of language to say that.”

If then I am right and the policy lapsed, not only was there no policy in force as from the time of the transfer of the vehicle, so that s. 10 cannot be relied on by the plaintiff, but Mr. Kihanya as insured could not have given any order or permission to drive the vehicle. In any event the evidence about his having given such order or permission as secretary was, as I pointed out, contradictory. Indeed I do not think that it can be said to have been established upon the facts that such permission or order was given by him in any capacity.

I looked through Cross' case to see whether objection was anywhere taken to the words "driving on the Insured's order or with his permission" and unless I have overlooked something it was not commented upon. I will be dealing with the matter of "authorised driver" in a moment, but I would now say that I do not think that the words "and is driving on his order or with his permission" are, as has been suggested, for excision because of s. 8.

The mischief aimed at by the Act is "injury to third parties . . . from the use of the vehicle on the road either by himself or by some other person or persons . . . but, whoever is specified in the policy as covered in relation to the user of the vehicle, that cover must be against 'any liability which may be incurred' by the owner of the specified person . . .": ([1968] E.A. at pp. 95 and 96). On the latter page the learned Vice-President (as he then was) said:

"It is urged on behalf of the insurers that where a policy purports to provide to the specified person a general cover but there is a condition which ab initio excludes liability from arising, as for example a provision that the insurer is not liable if the person specified in the policy is disqualified from holding a licence, then the provisions of this section do not nullify such a condition. It is urged that such a condition takes effect before the event giving rise to the liability occurs and that section 8 only applies to events that happen after the liability has arisen."

And he rejected it. It is argued that this is incorrect. But I am bound by the decision in that case and in any event the circumstances there referred to are dissimiliar from those before this Court. The judgment, at p. 97, recognises, indeed, that there may be such different circumstances for it says:

“While in other circumstances a proviso may have such an effect, I am satisfied that such is not the position here.”

There must be a reason for having the two expressions “persons” and “classes of persons” in s. 5 (b) and I venture to say that the draughtsman must have contemplated business and private requirements. If that is so then employees are an obvious class. It is true that the word “provided” is used in the policy but one must remember that the “label”, as the dissenting judgment pointed out, does not matter and that a “proviso” is not necessarily a condition rendered ineffective by s. 8. In the present case I see nothing of a general cover with an ab initio condition excluding liability in the classification in the policy. What I do see is a provision which might very well have read “(b) Any employee of the Insured who is driving on his order or with his permission”. And that is not objectionable at all. Accordingly the vehicle was being driven by someone who was never contemplated by the policy – in principle it is just as if a thief were driving the vehicle – and I do not see how the Act can be relied on by the plaintiff. It might be suggested that s. 10 could be so relied on, but it concerns itself with “such liability as is required to be covered by a policy under paragraph (b) of section 5 of this Act (being a liability covered by the terms of the policy)” and there cannot, in the circumstances, be such a liability, for the parties to an insurance contract may choose who will be covered.

In other words “such liability . . .” must mean “such liability . . . on the part of a person, persons or class of persons covered by the policy”.

It is my finding, then, that the policy issued by the defendant was not in force at the material time, that the vehicle was not being driven by an authorised driver in terms of the policy nor was it being used in accordance with the policy at that time, that s. 10 (4) of the Act is inapplicable to the circumstances of the case, and that the defendant is not liable to satisfy the judgment obtained against the driver and Mr. Kihanya. There must be judgment for the defendant with costs and I so order. It is clearly a case for the award of a certificate for Queen’s Counsel and junior Counsel and I certify accordingly.

Case dismissed.

For the plaintiff:

RN Sampson

Macdougall and Wollen, Nairobi

For the defendant:

JA Mackie-Robertson QC and VRD PatelJJ Patel & Co, Nairobi

Simon Petero Zirabamuzale v Andrew Corret and another

[1962] 1 EA 694 (HCU)

Division: HM High Court of Uganda at Kampala

Date of judgment: 7 November 1962

Case Number: 637/1961

Before: Bennett Ag CJ

Sourced by: LawAfrica

[1] Practice – Appearance – Trial – Absence of defendant – Appearance entered – No defence filed – No notice of hearing given to defendant – Case heard ex parte – Judgment entered against defendant – Application to set aside ex parte decree – Whether failure to give hearing notice constitutes "sufficient cause" for non-

appearance – Civil Procedure Rules, O. 8, r. 1 and O. 9, r. 8A (2), r. 24 (U.) – Traffic Ordinance, 1951, s. 104 (U.).

[2] Insurance – Motor insurance – Action against insured – Statutory notice to insurers given – Appearance entered by insured – No defence filed – Insurers so informed by letter – Judgment against insured – Whether insurers entitled to have decree set aside – Traffic Ordinance, 1951, s. 104 (U.).

Editor's Summary

The plaintiff claimed damages against both defendants for negligence arising out of a collision in which the plaintiff and vehicles belonging to the two defendants were involved. The statutory notice required by s. 104 of the Traffic Ordinance, 1951, was given to the first defendant's insurers by the plaintiff's advocates. An appearance was entered by advocates for the first defendant but when neither the first defendant nor his insurance company gave the advocates detailed instructions regarding his defence, the advocates wrote to the first defendant for instructions and stating that otherwise they would be compelled to abandon the case. A copy of this letter was also sent to the first defendant's insurance company. The suit was set down for hearing ex parte and, when called, the claim against the second defendant was dismissed by consent. The case against the first defendant was then heard ex parte and judgment against him was duly given. The first defendant then applied that the ex parte decree be set aside on the grounds that, despite the first defendant's failure to file a defence, he ought to have been given notice of the hearing and that failure to do so constituted "sufficient cause" for his non-appearance within the meaning of O. 9, r. 24 of the Civil Procedure Rules.

Held –

(i) the cause of the first defendant's non-appearance when the suit was called for hearing was his failure to give proper instructions for his defence to his advocates and this did not constitute a sufficient cause for non-appearance at the hearing.

(ii) the plaintiff’s advocates were justified in withdrawing the case against the second defendant and the process of the court was not abused.

(iii) the first defendant’s insurance company had had ample opportunity to defend the case on his behalf and had neglected that opportunity.

Application dismissed.

Case referred to in judgment:

(1) Sarupsing Mangatsing v. Nilkant Bhaskar (1953), A.I.R. Bom. 109.

Judgment

Bennett Ag CJ: This is an application by the first defendant to set aside an ex parte decree dated October 4, 1962. In his plaint the plaintiff claimed damages against both defendants for negligence arising out of a collision in which the plaintiff and vehicles belonging to the two defendants were involved.

The suit was filed on December 29, 1961. On January 6, 1962, the plaintiff’s advocates gave the statutory notice required by s. 104 of the Traffic Ordinance, 1951, to the first defendant’s insurance company. On February 7, 1962, the first defendant was served with a summons to enter an appearance.

The first defendant is an Italian and speaks no English, but he does speak Kiswahili. On February 19, 1962, one Dhana Singh, a friend or acquaintance of the first defendant, took the summons and a copy of the plaint to the offices of Singh & Treon, advocates, and informed Mr. Singh, a partner, that the first defendant wished his firm to undertake the defence to the suit. Mr. Singh promised to enter appearance, but told Dhana Singh that it would be necessary for him to see the first defendant in order to obtain detailed instructions. On February 21, 1962, Singh & Treon entered appearance on behalf of the first defendant.

The first defendant did not call at the offices of Singh & Treon to give detailed instructions as to the nature of his defence to the suit, nor did the first defendant’s insurance company give any detailed instructions to the advocates. In consequence of this neglect, on March 14, 1962, Singh & Treon wrote to the first defendant asking for detailed instructions, and stating that if no instructions were forthcoming they would be compelled to abandon the case. This letter never reached the first defendant because it was wrongly addressed. A copy of the letter was sent to the first defendant's insurance company, and there is no reason to suppose that the company did not receive it.

It will be observed that the letter was not sent until after the time allowed by O. 8, r. 1, for filing a defence had expired. Neither the first defendant nor the insurance company appear to have taken any further action in the matter, and the suit was eventually set down for hearing ex parte.

On October 2, 1962, the case came on for hearing before JONES, J., when the plaintiff's advocate, with the consent of the second defendant's advocate, agreed to the dismissal of the suit as against the second defendant. The case against the first defendant was heard ex parte, and judgment against the first defendant for Shs. 40,000/- general damages and Shs. 250/- special damages was given on October 4, 1962.

On behalf of the first defendant it is contended that despite the first defendant's failure to file a defence he ought to have been given notice of hearing and that the failure to give him notice constitutes "sufficient cause" for his non-appearance within the meaning of O. 9, r 24. It is contended that there is nothing in the wording of O. 9, r. 8A (2) which can be construed as dispensing with the necessity of giving notice of hearing to the defendant. I am unable to accept this contention. In my judgment, the words "the plaintiff may set down the suit for hearing ex parte" connote that the hearing contemplated by the rule is to be in the absence of the defendant. To quote from Jowitt's Dictionary of English Law:

"In its more usual sense, ex parte means that an application is made by one party to a proceedings in the absence of the other. Thus an ex parte injunction is one granted without the opposite party having had notice of the application. It would not be called ex parte if he had proper notice of it, and chose not to appear to oppose it."

It is plain that the cause of the first defendant's non-appearance when the suit was called on for hearing was his failure to give proper instructions to his advocates to enable them to file a written statement of defence. It is for the client to seek out his advocate, not for the advocate to seek out his client. Failure to give proper instructions to an advocate cannot possibly constitute a sufficient cause for non-appearance at the hearing: See Sarupsing Mangatsing v. Nilkant Bhaskar (1) (1953), A.I.R. Bom. 109.

The court has been asked to set aside the decree on another ground. It is alleged in the first defendant's affidavit that the plaintiff's advocates took an unjust advantage of his absence at the hearing by withdrawing the case against the second defendant. It is contended that in these circumstances there was an abuse of the process of the court and that the court has inherent jurisdiction to set aside the decree. Having heard the plaintiff's advocate, Mr. Dalal, in the witness box, I am satisfied that he had solid grounds for consenting to the dismissal of the suilt as against the second defendant, and that the process of the court was not abused.

There is another aspect of the matter to be considered. It appears from the judgment of Chagla, C.J., in Sarupsing's case (1), that where the defendant's insurance company is under a statutory obligation to satisfy the judgment if given due notice of the institution of the suit, the court will set aside the decree under its inherent powers if satisfied that the insurance company did not have a proper opportunity to defend the suit. In the instant case the first defendant's insurance company was under a statutory obligation imposed by s. 104 (1) of the Traffic Ordinance to satisfy the judgment. The insurance company was served with statutory notice provided for by s. 104 (2) of the Ordinance so that it had notice of the institution of the suit. The insurance company was also informed by Singh & Treon's letter of March 14, 1962, that the first defendant himself had failed to give his advocates detailed instructions to enable them to defend the suit. The insurance company could have given the necessary instructions itself. Even after the insurance company had received a letter from the plaintiff's advocates dated May 25, 1962, giving the number of the first defendant's motor vehicle and the name of the first defendant's driver who was driving his vehicle at the time of the collision, the insurance company appears to have taken no action in the matter. Although by May 25, the time for filing a defence had long expired, applications to file defences out of time are readily acceded to by the courts and are not often opposed by the opposite party. In all the circumstances I am satisfied that the insurance company had ample opportunity to defend the case on behalf of the first defendant and that it neglected that opportunity.

In my judgment this application has no merits and it is dismissed. The first defendant is ordered to pay the plaintiff's costs of this application.

Application dismissed.

For the plaintiff:

S. V. Pandit, Kampala

For the first defendant:

Mayanja, Clerk & Co., Kampala

Anil Clerk

The Motor Union Insurance Co Ltd v AK Ddamba

[1963] 1 EA 271 (HCU)

Division: High Court of Uganda at Kampala

Date of judgment: 29 March 1963

Case Number: 385/1962

Before: Jones J

Sourced by: LawAfrica

[1] Insurance – Motor insurance – Action for declaration that insurance company entitled to avoid policy – Allegations of non-disclosure and misrepresentation by insured – Accident – No action filed against insured by third party – Whether action for declaration competent – Traffic Ordinance, 1951, s. 104 (4) (U.).

[2] Insurance – Proposal – Disclosure of material facts – Proposal form filled in by agent of insurance company – Full disclosure to agent alleged – Whether disclosure of facts to agent can be imputed to insurance company.

Editor's Summary

The plaintiff, an insurance company, filed a suit against the defendant insured, under s. 104 (4) of the Traffic Ordinance, 1951, for a declaration that the company was entitled to avoid a motor insurance policy issued to him on the grounds that the same was obtained by non-disclosure of material facts and/or by representation of facts which were false in some particulars. For the defendant it was contended that the proceedings were incompetent until a judgment has been given in a case brought against the defendant as a result of which the defendant could claim to be indemnified under the policy of insurance. It was common ground that no action had been started against the defendant under the policy. The proposal form had been filled in by the plaintiff's agent and it was alleged that full and accurate disclosures were made orally to him by the defendant.

Held –

(i) the proviso to sub-s. (4) of s. 104 of the Traffic Ordinance, 1951, was not applicable as no action had been started against the defendant under the policy.

(ii) the action was competent.

(iii) the defendant's evidence was not truthful.

(iv) the plaintiff company's agent had no information other than that disclosed on the proposal form, but even if he had, that information could not be imputed to the plaintiff company.

Declaration granted as prayed.

Cases referred to in judgment:

(1) Newsholme Bros. v. Road Transport and General Insurance Co. Ltd., [1929] All E.R. Rep. 442; [1929] 2 K.B. 356.

(2) Bhagat Ram s/o Guran Ditta v. Eagle Star and British Dominions Insurance Co. Ltd. (1933), 15 K.L.R. 77.

Judgment

Jones J: This was an action by the plaintiff company for a declaration that they were entitled to avoid a motor insurance policy No. 360362 issued to the defendant on January 5, 1962, on the grounds that the policy of insurance was obtained by non-disclosure of material facts and/or by representation of facts which were false in some particulars.

I should perhaps deal with a preliminary point which Mr. Pandit raised. Mr. Van Tijn, in his opening, said the proceedings were instituted to protect the insurers as provided by s. 104 (4) of the Traffic Ordinance. Pandit argued that the proceedings are incompetent until a judgment has been given in a case brought against the defendant as a result of which the defendant could claim to be indemnified under the policy of insurance. He could not produce any authority, but relied on the ordinary meanings of the words in the section.

The section seems perfectly clear to me. If an insured person is involved in an accident with another person, he may be sued by that other person. If the suit is successful, then in the normal course of events the insurance company would be bound to pay under the existing policy of insurance with the insured.

This section, i.e. 104 (4) of the Traffic Ordinance, was designed to protect the insurance company if they bring an action either (a) before an action is started against the insured; or (b) within three months after it has been commenced; for a declaration that they are entitled to avoid the contract subsisting between them as there has been non-disclosure of a material fact or that there has been a representation of fact which was false in some material particular.

Once the insurance company has obtained such a declaration, they can produce such a declaration in any subsequent action taken under the policy against the insured and deny liability therefore.

No action has yet in fact been started against the defendant under this policy, so the proviso in sub-s. (4) of s. 104 of the Traffic Ordinance is not applicable.

I have no doubt this action is competent, and I so rule.

The following facts are not denied by the defendant:

On January 7, 1958, he had an insurance policy with Sterling General Assurance Company Limited in respect of a Simca car. That car was involved in two accidents involving claims; two discharge receipts in respect of the claims were signed by the defendant (Ex. 6 and Ex. 7).

On August 6, 1960, he took out an insurance policy with the Indian Trade and General Insurance Co. Ltd. in respect of a Ford Taunus saloon.

On December 22, 1961, he signed a proposal and declaration for an insurance policy in respect of the same car with the Motor Union Insurance Company. A policy was issued on the strength of the proposal form on January 5, 1962.

On March 9, 1962, at mile 3 on the Entebbe road Mr. Ddamba was involved in an accident with another vehicle. He put in a claim to the plaintiff company on the following day.

Something in the claim form put the plaintiff company on enquiry, and they instructed their advocates, Messrs. Russell & Co., to investigate. Mr. Ddamba was interviewed by Mr. Van Tijn of Russell & Co. He volunteered a statement (Ex. 8) in which he admitted that his driver had been involved in an accident in the Simca in 1958.

As soon as the plaintiffs knew of the claims history with Sterling Insurance Company, they sent a letter by registered post disclaiming liability to Ddamba (Ex. 3). It was returned unopened.

The plaintiffs claimed that in answer to the question in box 10 on the proposal form (Ex. 1) signed by him on December 22, 1961, he did not declared a material particular. Question 10 reads:

"Are you now or have you been insured in respect of any motor vehicle? If so, please state name of company or underwriter."

"Answer – "Yes. Indian Trade and General Insurance Co. Ltd."

The answer should have read, according to the plaintiffs:

"Yes. With the Sterling General in respect of my Simca, and the Indian Trade and General Insurance Co. Ltd."

Further, in answer to the question 11 (b) –

"If so, for how many years up to this date have you previously been insured continuously without claim and with which companies?"

the proposal form reads:

"4. Companies as above",

which the plaintiffs say is false, having regard to the statement made by the defendant to Russell & Co., the discharge certificates Exs. 6 and 7 and the evidence of Mankikar (P. 3), resident manager of Sterling General Insurance Co. They also complain that the answers to questions 12 and 14 are untrue.

The defence was that a man called Kamya

(1) purported to be the agent of the insurance company;

(2) told Ddamba that all he had to do was to answer questions in Luganda and that all he, the defendant, had to do was sign the completed form;

(3) that he, Kamya, said that he would only record that which was really necessary;

(4) that the defendant signed the form blindly, placing implicit faith in Kamya;

(5) that full and accurate disclosures were made orally to Kamya, who was the agent of the plaintiff company.

It is admitted that the proposal form Ex. 1 was signed in Ddamba's house during lunch time on December 22, 1961. Wampamba (P. 1) and Kamya (P. 4) said in evidence that Ddamba asked P. 4 to fill in the form as he was about to have lunch. That sounds very natural and probable. Ddamba denied this, saying that Kamya wanted to assist him and volunteered to do so.

Kamya denied that Ddamba had told him of his two previous accidents, or that his previous insurers had asked him to pay the first £5 on any claim. Ddamba's advocate urged that as he had declared the matters quite voluntarily to Messrs. Russell & Co. in Ex. 8 after the accident on March 9, 1962, one ought to deduce that it was probable that he had mentioned it to Kamya on December 22, 1961.

Thirdly, P. 1 and P. 4 said Ddamba read Ex. 1 through before signing it.

Who, of the witnesses, is speaking the truth? Wampamba and Kamya were unshaken in cross-examination. Ddamba, on the contrary, appeared harassed under cross-examination and tried to fob off everything by saying that all this happened because everything was done in a hurry during lunch time. Apart from his demeanour, I am satisfied that Mr. Ddamba has not been speaking the truth as to what happened on December 22, 1961, for the following reasons:

He told Mr. Van Tijn that he had never completed a proposal form in his life, only signed one. Later on in his cross-examination he had to admit that he had filled the one he took out with the Indian Trade and General Insurance Co. Ltd.

Secondly, far from making a clean breast of things to Van Tijn in Ex. 8, he omits to mention the second claim arising out of an accident in October, 1958. The first was one in which his driver was involved, which he harped on, but seemed singularly anxious not to refer to the one in which he was involved.

I find, from the evidence before me, that –

(1) Ddamba asked Kamya to fill in the proposal form.

(2) Kamya filled in exactly what Ddamba told him.

(3) Ddamba did not disclose that he had been insured with the Sterling General or that he had been involved in any accidents during the previous four years or that there were conditions on his policy.

(4) He read the proposal form before he signed it. He is an intelligent man and knew the importance of speaking the truth. This was in fact the third proposal he had made within three years.

I also accept Fliess' (P. 2's) evidence that if he had known of Ddamba's previous claims history, he would have had to reconsider his position and either –

(1) refuse to accept the risk; or

(2) impose a possible £50 compulsory excess without a reduction in premium; or

(3) refuse a 40 per cent. no-claim bonus.

In Newsholme Bros. v. Road Transport and General Insurance Co. Ltd. (1), [1929] All E.R. Rep. 442, Lord Scrutton said at p. 444:

"The contract of insurance requires the utmost good faith; the insurer knows nothing; the assured knows everything about the risk he wants to insure and he must disclose to the insurer every fact material to the risk."

Had the proposer disclosed all the relevant and material information in the proposal form, the plaintiff company might very well have taken a different attitude to this risk.

It was claimed by the defendant that Kamya was the insurer's agent and therefore any knowledge he had was imputed to the company. I have decided that Kamya had no information other than that disclosed on the proposal form, but even if he had, the insurers would not be liable on the authority of Newsholme Bros. v. Road Transport and General Insurance Co. Ltd. (1).

"A proposal form was handed by the agent of an insurance company to a partner in the plaintiff firm who was minded to insure a motor omnibus, the property of the partnership, against damage by accident and third-party risks. In answer to three of the questions set out in the proposal form the partner gave the correct answers orally to the agent, but the agent wrote those answers on the form incorrectly, either because he had misunderstood or forgotten what the partner had told him or intentionally to earn a commission which otherwise he might not receive. The partner then signed the form, which contained a warranty that the answers were true and a statement that the warranty was promissory and should be the basis of the contract between insurers and assured. The company issued a policy and accepted a premium. An accident having occurred, the plaintiffs claimed to be indemnified under their policy, but the company repudiated the claim on the ground that the written proposal contained untrue statements.

"Held: the agent was not authorised by the company to fill in the proposal form and in doing so must be regarded as the agent of the proposer, and knowledge of the agent that the answers to certain questions in the form were not true was not notice to the company; the written contract alone could be looked at to ascertain the terms of the agreement between the parties; and, therefore, the company was not liable to meet the plaintiff's claim.

"Per Greer, L.J.: The acceptance of the premium cannot be regarded as an agreement to vary the contract by inserting in it a promise to indemnify the assured if the statements contained in the proposal form are untrue, nor can the company be said to be estopped by the receipt of the premium from relying on the contract under which the premium was paid."

In that case, it was held that the agent of the insurers was acting as an amanuensis of the proposer in the completion of the form, and that his knowledge of the true facts could not in such circumstances be imputed to the insurers. The proposal, accompanied by the signed warranty, was the basis of the contract in this case.

The decision in Newsholme Bros. v. Road Transport and General Insurance Co. Ltd. (1) was followed in Bhagat Ram s/o Guran Ditta v. Eagle Star and British Dominions Insurance Co. Ltd (2) (1933), 15 K.L.R. 77.

Whether Ddamba's version of what happened on December 22, 1961, is accepted, or Kamya's, on the authorities cited above the plaintiffs are entitled to the declaration they seek under para. 10 of their plaint, i.e. a declaration that they are and have at all material times been entitled to avoid the policy of insurance No. 360362 dated January 5, 1962, apart from any provisions contained therein on the ground that the said policy of insurance was obtained by the non-disclosure of material facts and/or by representation of facts which were false in some material particular.

I give them their declaration and the costs of this suit.

Declaration granted as prayed.

For the plaintiff:

Van Tijn

Russell & Company, Kampala

For the defendant:

SV Pandit

SV Pandit, Kampala

Jubilee Insurance Co Ltd v John Sematengo

[1965] 1 EA 233 (HCU)

Division: High Court of Uganda at Kampala

Date of judgment: 3 March 1965

Case Number: 277/1964

Before: Sir Udo Udoma CJ

Sourced by: LawAfrica

[1] Insurance – Motor insurance – Action for declaration that insurance company entitled to avoid policy – Allegation of non-disclosure and misrepresentation by insured – No pending action or unsatisfied judgment against insured – Whether action for declaration maintainable – Traffic Ordinance 1951 s. 104 (4) (U).

Editor's Summary

The plaintiff an insurance company, filed a suit against the defendant insured for a declaration that the company was entitled to avoid a motor insurance policy issued to him on the grounds that the same was obtained by nondisclosure of material facts and by misrepresentations of facts which were false in some material particular. It was common ground that there was no action commenced and pending or a judgment obtained against the defendant. For the defendant it was submitted that having regard to the provisions of s. 104 (4) of the Traffic Ordinance, 1951, the action was not maintainable in law because no action had been taken nor judgment obtained against the defendant against which the defendant could claim to be indemnified by the plaintiff company. The judge found that the insurance policy was obtained by the nondisclosure of a material fact and by a representation of fact which was false in some particular.

Held –

(i) the purpose and intent of the provisions of s. 104 (4) of the Traffic Ordinance, 1951 is to enable an insurance company to avoid an insurance policy on the ground of nondisclosure of a material fact or misrepresentation of fact which is false in some material particular, regardless of any provisions in the insurance policy;

(ii) it is not necessary that before an action for declaration can be maintained in law, an action must have been commenced and pending or a judgment obtained against the insured and accordingly the action was maintainable in law.

Declaration as prayed.

Cases referred to in judgment

(1) The Motor Union Insurance Co. Ltd. v. A. K. Ddamba, [1963] E.A. 271 (U).

(2) Joel v. Law Union & Crown Insurance Co., [1908] 2 K.B. 863.

(3) MacDonald v. The Law Union Fire & Life Insurance Co., [1879] K.B. 328.

(4) Thompson v. Weems, [1889] A.C. 671.

(5) Condogianis v. Guardian Assurance Co. Ltd., [1921] 2 A.C. 125.

(6) Biggar v. Rock Life Assurance Co., [1902] K.B. 516.

Judgment

Sir Udo Udoma CJ: This is a claim by the plaintiff for a declaration that it is and was at all material times entitled to avoid the policy of insurance, No. UCV/7457, dated June 10, 1963, apart from any provisions contained therein, on the ground that the said policy was obtained (by the defendant) by the nondisclosure of material facts or by misrepresentation of facts which were false in some material particular or by both ways.

The material facts alleged to have been misrepresented or not to have been disclosed (or both) are pleaded in para. 4 of the plaint filed in the following terms:

"4. The said proposal form and the said declaration contained (inter alia) the following questions to and answers by the defendant:

Question No. 16. Is the vehicle at present in a thorough state of repair?

Answer: Yes.

Question No. 19. Give record of accident and/or loss during the past five years in connection with any motor vehicle owned or driven by you, whether insured including any claim outstanding.

Answer: None."

The allegation of the plaintiff company is that the proposal form and the declaration contained therein formed the basis of the policy of insurance and were incorporated in the said policy. The plaintiff company now complains that the answers to questions Nos. 16 and 19 set out above were false in material particulars in that, as regards the answer to question No. 16, the motor lorry, No. UFY 420, had, at the material time, broken down on the Kampala-Jinja road owing to a major mechanical defect, and was not therefore then in a thorough state of repair; and, in respect of the answer to question No. 19, the motor lorry aforesaid had been involved in a collision in the night of April 24, 1963, and was then lying on the Kampala-Jinja road; both which material facts the defendant had not only failed to disclose to the plaintiff company at the material time, but had also misrepresented.

In his written statement of defence the defendant denies that:

(1) the answers to the questions set out in para. 4 of the plaint were material "in or about the making of the said policy";

(2) he obtained the said policy by nondisclosure by misrepresentation of material facts as alleged or at all; or both and

(3) whatever facts were within his knowledge regarding his said motor lorry were disclosed for (sic) the plaintiff's servant or agent when he wrote down the answers on the said piece of paper.

The defendant therefore "contends that the plaintiff is not entitled to avoid the said policy either by reason of the provisions of sub-s. 4 of s. 4 of the Traffic Ordinance of (sic) otherwise".

At the hearing, the defendant neither gave nor called any evidence in support of any of the averments contained in his statement of defence. The only evidence before the court was given by the plaintiff and its witnesses.

On the evidence, which has not been contradicted and which I accept, I think it has been established that the defendant is the registered owner of the motor lorry, No. UFY 420, which had previously been insured with the plaintiff company and the policy of which insurance expired on March, 4 1963, without any renewal.

On April 24, 1963, in the night, the motor lorry No. UFY 420 was involved in a collision with a Peugeot estate car No. USB 683 at mile 8 on the Kampala -Jinja road. At about 9.30 p.m. that night Cpl. James Ahenda, No. 7494, visited the locus in quo. He found both the lorry, No. UFY 420, and the Peugeot estate car, No. USB 683, lying in line on the road. He inspected both vehicles and took measurements and drew a sketch plan of the scene.

Between 8.30 a.m. and 9 a.m. on April 25, 1963, the defendant went to the plaintiff company. He applied for the renewal of his previous policy. He was informed that the policy could not be renewed owing to effluxion of time. The defendant thereupon applied for a new third party insurance policy as prescribed under the Traffic Ordinance, 1951, to cover his said motor lorry for

only a period of three months. He explained that he could not afford to insure the said motor lorry for a longer period. On enquiry, he also explained that he had brought his lorry No. UFY 420 with him to Kampala, and that it was then stationary at the Nakivubo motor park, Kampala, loaded with matoke.

At his request the proposal form, Ex. A, was supplied to him for completion. As the defendant does not understand English, at his request, and on his instructions and on his behalf the proposal form, Ex. A, was completed by Charles Kulabiwo Serumaga (P.W. 1), a clerk employed by the plaintiff company, to whom the defendant spoke in Luganda the answers required for completing the form Ex. A; which answers Charles Kulabiwo Serumaga (P.W. 1) duly and correctly translated into English from Luganda and recorded on the said form. The completed form, Ex. A, was then read over and again translated from English into Luganda for the benefit of the defendant, who, thereupon on being satisfied, signed the declaration of warranty on the reverse side of the form aforesaid, thereby signifying that his answers had been correctly and faithfully recorded thereon.

The form, Ex. A, thus completed was submitted to the plaintiff company's representative, Sadrudin Jamal (P.W. 7), who, after having examined it and being satisfied with the answers given thereon, immediately the same day and in consideration of the payment of the premium of the sum of Shs. 26/- by the defendant, issued to the defendant the cover note, Exhibit B. Thereafter Sadrudin

Jamal (P.W. 7) issued to the defendant a policy of insurance, and pursuant the provisions of s. 101 of the Traffic Ordinance, 1951, also a certificate of insurance; copies of both which documents are in these proceedings exhibited and marked Exhibits E and F respectively.

The defendant later the same day at about 11 a.m. went to Yokana Muwange (P.W. 5), a motor mechanic, at his workshop situate at some 2½ miles on the Gayaza-Kampala road. He reported to him that his lorry was lying on the Kampala-Jinja road in a bad state of repairs, the same having broken down. He requested the latter to accompany him to the site on the road where the lorry was lying in order to effect repairs. Yokana Muwange (P.W. 5) went with him. He found the motor lorry on the road. The bearings of the near wheel of the motor lorry were broken and the wheel itself rendered immobile. It was stiff. The defendant requested Yokana Muwange (P.W. 5) to repair the said lorry for him.

Yokana Muwange (P.W. 5) set at once to work on the lorry, having first obtained the requisite spare parts from Kampala. The work of repairing the motor lorry continued late into the night, and a hurricane lantern had to be placed on the top of the lorry. While the lorry was stationary on the Kampala -Jinja road undergoing repairs, a Fiat motorcar ran into and collided with it from behind, that night.

In June, 1963, it came to the knowledge of the plaintiff company that the motor lorry, No. UFY 420, property of the defendant insured with it had been involved in a collision with another vehicle on April 25, 1963. The plaintiff company was thereupon put on an enquiry. As a result it was further discovered that on April 24, 1963, that is, the day before the defendant insured the motor lorry with the plaintiff company, the motor lorry, No. UFY 420, had also been involved in a collision with a Peugeot estate car No. USB 683, in consequence of which the motor lorry, No. UFY 420, was lying immobile with a major mechanical defect on the Kampala-Jinja road.

After due enquiry, the plaintiff company on January 16, 1964, addressed the letter, Ex. D, in these proceedings to the defendant repudiating the policy of insurance, and subsequently filed this suit seeking the declaration hereinbefore mentioned.

Counsel for the defendant, has submitted that having regard to the provisions of s. 104 (4) of the Traffic Ordinance, 1951, this action is not maintainable in law. Counsel contended that before an action for a declaration of the plaintiff's right to avoid the defendant's insurance policy can be maintained there ought to be either an action commenced and pending, or a judgment obtained against the defendant in respect of the accident; and since there is no such action or judgment in this case this action cannot be maintained in law.

Counsel referred the court to the case of The Motor Union Insurance Co. Ltd. v. A. K. Ddamba (1) and contended that the decision therein did not deal with the question as to whether or not that action was maintainable in law pursuant the provisions of s. 104 (4) of the Traffic Ordinance.

For the plaintiff company, counsel submitted that the plaintiff company is entitled to judgment both on the evidence and in law; and that under the provisions of s. 104 (4) of the ordinance the plaintiff company is entitled to the declaration sought regardless of the fact that there is pending neither suit nor any unsatisfied judgment recovered against the defendant. In support of this submission counsel cited and relied on The Motor Union Insurance Co. Ltd. v. A. K. Ddamba (1).

Now the provisions of s. 104 (4) of the Traffic Ordinance, 1951, without its proviso, which I consider irrelevant to the issue in controversy in the instant case, are as follows:

"No sum shall be payable by an insurer under the foregoing provisions of this section, if, in an action commenced before, or within three months after, the commencement of the proceedings in which the judgment was given, he has obtained a declaration that, apart from any provisions contained in the policy, he is entitled to avoid it on the ground that it was obtained by the nondisclosure of a material fact, or by a representation of fact which was false in some material particular, or, if he has avoided the policy on that ground, that he was entitled so to do apart from any provision contained in it."

The contention of counsel for the defendant is that by reason of the above provisions the present action is not maintainable in law because no action has been taken nor judgment obtained against the defendant against which the defendant can claim to be indemnified by the plaintiff company. In the absence of such action or judgment there can be no question of the plaintiff company being called upon to make payment to anyone. In other words, it is only when anyone who has obtained judgment against the defendant seeks to enforce such a judgment against the plaintiff company, contended counsel, that the latter can come to the court and ask for a declaration. Counsel's submission therefore resolves itself to the construction of the provisions of s. 104 (4) of the Traffic Ordinance, 1951.

It is of interest to note that the provisions of s. 104 (4) of the Uganda Traffic Ordinance, 1951, are taken verbatim from the provisions of s. 10 (3) of the English Road Traffic Act, 1934. The point raised in the instant case would appear not to have been raised in the English Courts, which of course is not surprising as the provisions of the Act appear very clear and are devoid of any ambiguity.

Commenting on the provisions of s. 10 (3) of the Traffic Act 1934, C. N. Shawcross in his book The Law of Motor Insurance (1936 Edn.) at p. 404 said:

"Unless the policy has been cancelled before liability to a third party is incurred and the certificate of insurance has been surrendered by the assured, insurers are not entitled to rely upon nondisclosure or misrepresentation by the assured as a ground upon which to avoid liability to that third party who has obtained judgment against the assured in respect of death or bodily injury arising out of the use of the assured's motor vehicle on the road. In order to avoid such liability to a third party the insurer must go further and commence proceedings, within a specified time, for a declaration that he is or was entitled to avoid the assured's policy upon the ground of non-disclosure or misrepresentation of a material fact, apart from the terms of the policy."

It would appear that the purpose and intent of the provisions of s. 104 (4) of the Traffic Ordinance was to enable an insurance company to seek a declaration from the court that it is entitled to avoid an insurance policy on the ground of nondisclosure of a material fact or misrepresentation of fact which is false in some material particular, regardless of any provisions in the insurance policy contained. Where an insurer has obtained such a declaration either before or three months after the commencement of proceedings by a third party in which the party had obtained judgment against the assured, the insurer cannot be called upon to satisfy such a judgment.

In my view the effect of these provisions, on a true construction, like the effect of the provisions of the corresponding English Act, is to prevent an insurer without resort to the court from relying solely upon nondisclosure or misrepresentation by the assured as the ground upon which to avoid his liability to a third party who has already obtained judgment against the assured. There is nothing in the provisions of the Ordinance to support counsel for the defendants submission that before an action for a declaration can be maintained in law, a judgment must have been obtained against an insured. The submission is unconvincing. It is misconceived and must be over-ruled. In my opinion this action is maintainable in law and has been properly brought before this court.

I think counsel was in error in his contention that the decision of the court in The Motor Union Insurance Co. Ltd. v. A. K. Ddamba (1) did not deal specifically with the question as to whether or not that action was maintainable in law. It is of course true that the learned trial Judge used the word “competent” instead of maintainable. I am satisfied that the point was indeed one of the main issues decided in that case. In dealing with that point Jeffreys Jones, J. had said:

“This Section, i.e. 104 (4) of the Traffic Ordinance was designed to protect the insurance company if they bring an action either (a) before an action is started against the insured, or (b) within three months after it has been commenced for a declaration that they are entitled to avoid the contract subsisting between them as there has been nondisclosure of a material fact or that there has been a representation of fact which was false in some material particular. Once the insurance company has obtained such a declaration, they can produce such a declaration in any subsequent action taken under the policy against the insured and deny liability therefor.”

With the above quoted passage of the learned judge’s judgment I respectfully agree.

Accepting the evidence of the plaintiff company and its witnesses as I do, the question must be, is the plaintiff company entitled to the declaration which it seeks on the grounds that the insurance policy, Ex. E, was obtained by the nondisclosure of a material fact, or by a misrepresentation of fact which was false in some material particular, or both? I think so.

The representative of the plaintiff company, Sadrudin Jamal (P.W. 7) has sworn that if at the time the form, Ex. A, was submitted to him it had been disclosed that the motor lorry, No. UFY 420, had been involved in an accident

the previous day he would not have issued the defendant with the cover note, Ex. B, or agreed to have the motor lorry insured at all, and that he relied entirely on Ex. A in accepting to insure the motor lorry. He said further that even in August 1963 during an interview, the defendant only admitted the accident which had occurred on April 25, 1963 but not that of April 24, 1963.

It is well established that a contract of insurance is uberrimae fidei and therefore requires the utmost good faith from both parties during the making of it. Nondisclosure of a material fact or a representation of fact false in some material particular renders the contract voidable. Nondisclosure of a material fact as such may not by itself be a ground for damages, the only remedy available would appear to be the avoidance of the contract. The contract being uberrimae fidei the insurer is entitled to be put in possession of all material information possessed by the insured.

As was said in Joel v. Law Union & Crown Insurance Co. (2) ([1908] 2 K.B. at p. 883) by Fletcher Moulton, L.J.:

“The contract of life insurance is one uberrimae fidei. The insurer is entitled to be put in possession of all material information possessed by the insured. This is authoritatively laid down in the clearest language by Lord Blackburn in Brownlee v. Campbell 5 A.C. 925 at p. 954:

‘In policies of insurance, whether marine insurance or life insurance, there is an understanding that the contract is uberrimae fidei, that, if you know any circumstance at all that may influence the underwriter’s opinion as to the risk he is incurring, and consequently as to whether he will take it, you will state what you know. There is an obligation there to disclose what you know, and the concealment of a material circumstance known to you, whether you thought it material or not, avoids the policy.’

There is, therefore, something more than an obligation to treat the insurer honestly and frankly, and freely to tell him what the applicant thinks it is material he should know.”

In Macdonald v. The Law Union Fire & Life Insurance Co. (3) the plaintiff therein effected a policy of insurance with the defendants therein on the life of a K. M. Taylor, which was under the seal of the defendants, but the plaintiff was not made a party to the policy. In it there was the proviso “that if the declaration under the hand of the plaintiff delivered at the defendants’ office as the basis of the insurance is not in every respect true – then the insurance shall be void.”

On proposing the insurance, the plaintiff had answered in writing certain questions; and at the foot he had signed, as the person proposing the insurance, a declaration in the following terms:–

“I declare that the above particulars are truly set forth”.

It was held that the proviso in the policy, by the terms of which the plaintiff having accepted it was bound, avoided the insurance if the particulars in the declaration were untrue in fact, on a material matter, although not untrue to the plaintiff’s knowledge.

In Thompson v. Weems (4), William Weems applied to an insurance office to effect a policy on his life. He received a printed form of proposal containing certain questions. Among the questions there were the following:

“Question 7 (a) Are you temperate in your habits?

(b) and have you always been strictly so?

Answer to (a) “Temperate”; and

(b) “Yes”.

Subjointed to the printed questions, there was a declaration which was signed by Weems to the effect that the foregoing statements were true and that the assured agreed that this declaration should be the basis of the contract; and that if any untrue averment etc. was made the policy was to be absolutely void and all moneys received as premium forfeited. The policy recited the above declaration as the basis of the contact.

After Weems' death the insurance company refused payment of the sum of £1,500, being the amount due on the policy on the ground that the answers given by Weems on the proposal form were false in fact. In an action to recover the amount of the policy, it was held by the House of Lords, reversing the decision of the court below, that the declaration of Weems taken, in connection with the policy, constituted an express warranty that the answer to question 7 was true in fact; and that as the evidence clearly proved that Weems' averment as to his temperance was untrue, the policy was absolutely null and void.

In the instant case, I find as a fact on the evidence that the answer given by the defendant to question No. 16 was false in material fact; and false within the knowledge of the defendant as it is highly probable that at the material time when the defendant applied on April 25, 1963 to have his motor vehicle, No. UFY 420, insured and in pursuance thereof had completed the proposal form, Ex. A, he knew that the said motor vehicle had broken down and was immobile on the Kampala-Jinja road, owing to a major mechanical defect; and that the same was therefore not in a thorough state of repair. I think that the answer, "yes", given by the defendant constitutes a representation of facts false in some material particular.

The fact that the defendant told a false tale when in reply to enquiries he had said to Charles Kulabiwo Serumaga (P.W. 1) that the said motor lorry was loaded that morning with matoke and was then at the Nakivubo motor park, whereas in fact the said lorry was at the time on the Kampala-Jinja road; the fact also that the defendant went that same morning to Yokana Muwange (P.W. 5) and took him to the Kampala-Jinja road for the express purpose of repairing the said motor lorry; the fact that the previous policy had expired on March 4, 1964 and no attempt had been made to renew it until the morning on April 25, 1963, that is to say, the morning after the accident resulting in the breakdown of the motor vehicle, No. UFY, 420 on the road; all these facts must lead irresistibly to the inference that the defendant knew full well before his visit to the office of the plaintiff company's representative, of the accident of the night of April 24, 1963, and that the said motor vehicle was then immobile on the Kampala-Jinja road.

From the evidence as a whole and the above findings, I also draw the inference that the defendant deliberately left question No. 19 unanswered even though he well knew that the motor lorry aforesaid had been involved in an accident on April 24, 1963. It follows I think that by deliberately refusing to give any answer to question No. 19 the defendant had failed to disclose to the plaintiff company the record of accident involving the motor lorry No. UFY 420. Thus the defendant had obtained the policy, Ex. E, and the certificate, Ex. F, by the nondisclosure of a material fact and by a representation of fact false in some material particular.

This action is technically founded on the provisions of s. 104 (4) of the Traffic Ordinance, that is to say, quite independently of the terms contained in the policy, Ex. A. It has been brought pursuant those provisions. Whether or not the declaration of warranty contained in the proposal form, Ex. A, forms the basis of the contract and is incorporated therein seems to me of little moment.

The right of action provided for under s. 104 (4) of the Ordinance is entirely separate, distinct and independent of any provision contained in the policy,

Ex. E, and would appear to be narrower than any right of action which might accrue under the contract of insurance as such. In an action brought pursuant these provisions the nondisclosure must be of a material fact and the misrepresentation false in some material particular. In the case of an action founded upon the terms of the policy as a contract it seems to me that a misrepresentation need not necessarily be material so long as it forms the basis of the contract of insurance.

In the Australian case of Condogianis v. Guardian Assurance Co. Ltd. (5) the appellant sued the respondent upon a policy issued by them insuring certain laundry premises against fire. A proposal form filled up by the appellant when applying for the policy contained the following questions:

"Has the proponent ever been a claimant on a fire insurance company in respect of the property now proposed, or any other property?

If so, state when and name of company."

The appellant's answer to the question was "Yes. 1917. 'Ocean'." The answer was literally true as in 1917 he had claimed against Ocean Insurance Co. in respect of the burning of a motorcar; but in 1912 he had made a claim against another company in respect of a similar loss. The proposal form stated that it was the basis of the policy and that the particulars given by the appellant were to be express warranties. The policy contained a condition that if there was any misrepresentation as to any fact material to be known in estimating the risk, the respondents were not to be liable upon the policy.

It was held by the Privy Council that the answer was untrue since the question could not reasonably be read as being intended to have the limited scope which would render the answer true; that there was a breach of warranty whether or not the misrepresentation was as to a material fact; and that the appellant could not recover.

Although in para. 9 of his statement of defence, the defendant had averred that the plaintiff company's servant or agent had not read over his answers to him before he, the defendant, signed Ex. A, no evidence was called in substantiation of that averment; nor was any argument addressed to the court on the issue. In order, however, that there should be no doubt as to the view of the court on the issue, suffice it to say that I am satisfied on the evidence that the defendant's answers were not only read over but were interpreted to the defendant, who clearly understood them before he signed Ex. A.

It was the defendant's duty to insist that his answers be read and interpreted to him before signing Ex. A; and if he had failed in that duty, which on my findings is not the case, he must be taken to have had the answers read and interpreted to him. For the servant or agent of the plaintiff company, in filling the answers on the proposal form, Ex. A, was not at the material time the agent of the plaintiff company but of the defendant for the purposes of the proposal form, Ex. A. (See Biggar v. Rock Life Assurance Co. (6)).

In my judgment the plaintiff company is entitled to the declaration sought because it has satisfactorily discharged the onus which is upon it of establishing by preponderance of evidence that the insurance policy, Ex. E, and the certificate, Ex. F, were obtained by the defendant by the nondisclosure of a material fact and/or by a representation of fact which was false in some particular. I accordingly enter judgment for the plaintiff and grant it the declaration asked for in terms of the plaint filed in this action, with costs.

Declaration as prayed.

For the plaintiff:

I Ishani

Ishani & Ishani, Kampala

For the defendant:

SH Dalal

Dalal & Singh, Kampala

Pioneer General Assce Soc Ltd v Mukasa

[1974] 1 EA 165 (CAK)

Division: Court of Appeal at Kampala

Date of judgment: 17 April 1974

Case Number: 9/1974 (58/74)

Before: Sir William Duffus P, Law Ag V-P and Mustafa JA

Sourced by: LawAfrica

Appeal from: High Court of Uganda – Musoke, J

[1] Insurance – Motor insurance – Compulsory third party insurance – Breach of condition – Insurer entitled to rely on breach of condition against insured.

[2] Insurance – Motor insurance – Breach of condition – Breach contributed to by insurer – Effect of.

Editor's Summary

The respondent owned a motor vehicle which he insured with the appellant. After a judgment had been given against him he sued the appellant for a declaration that he was entitled to indemnity under the policy. The respondent alleged that he had been in breach of the condition of the policy requiring a report of the accident in writing as soon as possible.

The respondent had reported the accident within two weeks and returned the completed form four months after the accident.

In the High Court it was held that s. 102 of the Traffic Act 1951 prohibited the appellant from relying on non-compliance with the conditions of the policy.

On appeal

Held –

(i) the judge should not have relied on a statutory provision not pleaded or relied upon by the parties without hearing them on it;

(ii) conditions in a policy are not avoided as between insurer and assured, and the appellant was entitled to rely on them;

(iii) the appellant had misled the respondent into believing that there was no urgency over reporting in writing and was therefore not entitled to repudiate liability.

Appeal dismissed.

Cases referred to Judgment:

(1) Williams v. Lancashire and Yorkshire Accident Insurance Co. (1902), 19 T. L. R. 82.

(2) Austin v. Zurich General Accident, [1945] 1 K.B. 250; [1944] 2 All E.R. 243.

Judgment

The following considered judgments were read. Law Ag V-P: The respondent was the owner of a motor car which, on 17 April, 1970, was involved in an accident in which a man was killed. The deceased's widow sued the respondent and recovered Shs. 25,000/- damages and costs of Shs. 4,530/-. The car was at the material time covered by a comprehensive policy of insurance issued by the appellant company. Instead of claiming these damages and costs from the appellant company, the widow levied execution against the respondent. He in turn sued the appellant company praying for a declaration that it was liable under the policy of insurance to indemnify him in respect of the decretal amount obtained against him by the widow. The appellant company by its defence claimed to be under no such liability by reason of an alleged breach of a condition of the policy committed by the respondent. This was his failure to report the occurrence of the accident in writing and as soon as possible, as stipulated in conditions 2 and 4 of the policy, condition 10 whereof further stipulated that due observance of the terms of the policy should be conditions precedent to any liability on the part of the appellant company.

The trial judge held that "as soon as possible" meant a reasonable period according to the circumstances. He did not say specifically that the report in this case was made within a reasonable time, but this finding is in my opinion implicit from the fact that he gave judgment for the respondent. He also said "In any event s. 102 of the Traffic Act 1951, which was in force when this policy was taken up, cannot be ignored," and held that this section prohibited the appellant company from relying on non-compliance of conditions in the policy.

This latter finding is the subject of one of the main grounds of appeal argued by Mr. Kateera, that while s. 102 aforesaid preserves the rights of third parties, the conditions of the policy remained effective as between the parties to the contract of insurance and were a condition precedent to liability on the part of the appellant company in a suit for indemnity brought by the respondent.

S. 102 aforesaid is to this effect, so far as it is material:

"Any condition in a policy of insurance providing that no liability shall arise under the policy . . . shall, as respects such liabilities as are required to be covered by a policy under section 99 of this Act, be of no effect."

The liabilities required to be covered under s. 99 are liabilities in respect of third parties. Such a third party, in a claim against an insurance company, is not affected by conditions in the policy which may relieve the company of liability towards the insured, but these conditions remain effective contractually between the company and the insured. We are not concerned here with a claim by the third party, against whom a condition that the insured must report the accident as soon as possible in writing would have been of no effect, under s. 102 aforesaid. That section is similar to s. 206 (2) of the Road Traffic Act 1960, of England. As is stated by Kahn-Freund, in dealing with this subject in The Law of Carriage by Inland Transport, 4th edn., at p. 550, restrictive conditions in a policy are of no effect in so far as the insurance is compulsory. Third parties are enabled to recover their damages from the insurer notwithstanding such conditions. Such conditions are not void, but in relation to third parties the insurer cannot rely on them. He can however seek to enforce them against the insured, and that is what the appellant company is seeking to do here, in a suit between the insured and the company with which the third party is not concerned.

It should be noted that it was never part of the case in the High Court, whether in pleadings or in argument, that s. 102 had the effect of nullifying contractual conditions in a policy, in a suit between the insured and the appellant company as insurer arising out of that policy. With respect to the trial judge, he should not have based his decision, to a substantial extent, on a statutory provision not pleaded or relied upon by the parties to the suit, without giving them an opportunity of being heard. Had he done so, he must have come to the conclusion that s. 102 only applied to claims by third parties enjoying the benefit of compulsory third party protection conferred by statute, and had no application to a suit between the insured and his insurer.

In my opinion, with all due respect to the trial judge, s. 102 was irrelevant to the issue which he had to decide, and this part of the appeal succeeds.

There now remains to be considered the second main ground of appeal, which is directed against the implicit finding in the judgment that the appellant company was not entitled to repudiate its liability to indemnify the respondent against the judgment recovered by the widow.

By condition 2 in the policy, as read with condition 4, any occurrence which may give rise to a claim under the policy shall as soon as possible be given in writing to the insurer. By condition 10, the due observance of the terms of the policy are made a condition precedent to any liability by the insurer. Non-compliance with a condition precedent may be fatal to a claim for an indemnity, see Austin v. Zurich General Accident, [1944] 2 All E.R. 243. In Williams v. Lancashire and Yorkshire Accident Insurance Co. (1902), 19 T.L.R. 82, delay of two months in reporting an accident was held sufficient to entitle the insurance company to repudiate liability; that case however concerned insurance under the Workman's Compensation Act, and the condition required "immediate" notice of the accident, and specified that time was of the essence of this condition.

The facts of the case now under consideration are not in dispute, and are as follows:

The accident occurred on 17 April 1970. The respondent reported it within two weeks to an Asian employee of the appellant company by telephone. He was told to collect a form at the office of the appellant company and did so a further fortnight later. The respondent was told he could complete the form at his leisure by one Mr. Umedali, described as the "top man" in the appellant company's Kampala office at that time. The respondent is a schoolmaster, and at about that time was sent to Nairobi on a course. The respondent did not complete the form and send it to the appellant company until 22 August 1970, a little over 4 months after the date of the accident. By a letter dated 26 August 1970, the appellant company told the respondent that it was entitled to repudiate liability by reason of the delay, but did not do so in terms. Instead it said that:

". . . at its option and without admittance of any liability (it) may take such action as in its discretion deems fit to assist you but shall have recourse against you for repayment . . . of all sums for repayment of claim or any other costs incurred or arising out of the said claim."

In March 1971, the appellant company arranged for the legal representation of the respondent in the suit brought against him by the widow. She recovered nearly Shs. 30,000/- in damages and costs. She did not seek to claim this sum from the appellant company, which (we were informed) had by then closed its Kampala office. Instead she proceeded to execution against the respondent personally. After judgment was given, but before the execution proceedings, the respondent went to see Mr. Janjua who was then representing the appellant company in Kampala. Mr. Janjua told him the company would satisfy the decree if he brought the Shs. 600/- "excess" he was bound to pay on any claim under the policy, and added "the sooner you pay that sum the better". Within a week the respondent raised Shs. 600/- and took it to Mr. Janjua, only to be told that the appellant company was repudiating liability. The question is whether, in these circumstances, the appellant company is entitled to repudiate its liability to indemnify the respondent, relying on the latter's failure to report the accident as soon as possible in writing. In my considered opinion, it is not. On the respondent's unchallenged and unrebutted evidence, he was told when he reported the accident by telephone that he must complete a form to be obtained at the appellant company's office; and when he collected the form, he was told that he could complete it "at his leisure". Quite clearly he was led to believe that there was no urgency in reporting the particulars of the accident in writing. Relying on this assurance, he took his time and did not submit the completed form for a further 3 months. He was dilatory, but had no reason at that stage to believe that his dilatoriness would be held against him. If the appellant company wanted to avail itself of the condition that the accident must be reported as soon as possible in writing, it should have so informed the respondent when he reported by telephone, or at the latest when he collected the form. It did not do so. On the contrary it misled the respondent into believing that there was no urgency. The appellant company must be taken, in my opinion, to have waived its right to repudiate liability to indemnify the respondent by reason of a breach by him of conditions 2 and 4 of the policy. I am in agreement with the trial judge's implicit finding that the report in this case was, in all the circumstances, made within a reasonable time.

I would affirm the decree appealed from, although not on the statutory ground relied on by the judge, and dismiss this appeal with costs.

Sir William Duffus P: I agree with the judgment of the Acting Vice-President and as Mustafa, J. A. also agrees the appeal is dismissed with costs.

Mustafa JA: I have read and agree with the judgment prepared by Law, Ag. V.-P. and I concur in the order proposed by him.

Appeal dismissed

For the appellant:

J Kateera (instructed by Hunter & Greig, Kampala)

For the respondent:

JBM Balikuddembe (instructed by Mpungu & Balikuddembe, Kampala)